HAVE A COMPLAINT OR NEED HELP?

If you have a problem with a claim or your premium, call your insurance company or HMO first. If you can't work out the issue, the Texas Department of Insurance may be able to help.

Even if you file a complaint with the Texas Department of Insurance, you should also file a complaint or appeal through your insurance company or HMO. If you don't, you may lose your right to appeal.

Mount Vernon Fire Insurance Company

To get information or file a complaint with your insurance company or HMO:

Call: Compliance Department, Mount Vernon Fire Insurance Company at 1-800-523-5545
Toll Free: 1-800-523-5545
Email: compliance@usli.com
Mail: 1190 Devon Park Drive, PO Box 6700, Wayne, PA 19087-2191

The Texas Department of Insurance

To get help with an insurance question or file a complaint with the state:

Call with a question: 1-800-252-3439
File a complaint: www.tdi.texas.gov
Email: ConsumerProtection@tdi.texas.gov
Mail: Consumer Protection, MC: CO-CP, Texas Department of Insurance, P.O. Box 12030, Austin, TX 78711-2030

¿Tiene una queja o necesita ayuda?

Si tiene un problema con una reclamación o con su prima de seguro, llame primero a su compañía de seguros o HMO. Si no puede resolver el problema, es posible que el Departamento de Seguros de Texas (Texas Department of Insurance, por su nombre en inglés) pueda ayudar.

Aun si usted presenta una queja ante el Departamento de Seguros de Texas, también debe presentar una queja a través del proceso de quejas o de apelaciones de su compañía de seguros o HMO. Si no lo hace, podría perder su derecho para apelar.

Mount Vernon Fire Insurance Company

Para obtener información o para presentar una queja ante su compañía de seguros o HMO:

Llame a: Compliance Department, Mount Vernon Fire Insurance Company al 1-800-523-5545
Teléfono gratuito: 1-800-523-5545
Correo electrónico: compliance@usli.com
Dirección postal: 1190 Devon Park Drive, PO Box 6700, Wayne, PA 19087-2191

El Departamento de Seguros de Texas

Para obtener ayuda con una pregunta relacionada con los seguros o para presentar una queja ante el estado:

Llame con sus preguntas al: 1-800-252-3439
Presente una queja en: www.tdi.texas.gov
Correo electrónico: ConsumerProtection@tdi.texas.gov
Dirección postal: Consumer Protection, MC: CO-CP, Texas Department of Insurance, P.O. Box 12030, Austin, TX 78711-2030



THE BUSINESS RESOURCE CENTER

Save Time and Money with Free and Discounted Resources

As a policyholder through USLI, you have access to many free and discounted services that will assist you in operating and growing your business through the Business Resource Center (BRC). Consider the following services and associated cost savings when deciding where to place your insurance!

Free

HR Consultation Helpline and Library by PeopleSystems

Speak to a HR expert for personnel issues, including harassment and discrimination, the Family and Medical Leave Act, disability, wage and hour regulations and more.

Call 1-877-655-3566. Representatives are available from 8 a.m. to 7:30 p.m. ET. Please have your USLI policy number available for easy registration.

Data Breach Prevention and Response Resources by eRiskHub®

Better understand your exposure to a data breach and the importance of a response plan. Gain access to training videos, risk assessment, and a data breach calculator.

Loss Control Resources on Property Safety, Disaster Preparedness and Recovery

Access a library of articles, checklists and videos for guidance on how to mitigate property-related risks. Along with tips for preparing for natural disasters and severe weather.

Discounted

Background Checks and Screenings by Background Info USA

Packages include security number validation, address tracing, multi-court criminal database, sex offender and OFAC security searches, and more.

Receive your ***first employment/volunteer background check package for free***. Additional screenings start at $10, excluding court and/or state fees.

- 10-panel Drug Screening – $36
- Tenant Screening – $20
- Motor Vehicle Report (MVR) – $5 + state fees
- Credit Report – $10

HR and Payroll Management System by Primepoint

Integrated and customizable solution that saves time and provides business intelligence to manage your business more effectively. Receive 10–25% off.

Employee Workplace Assessment by Talogy

The Caliper Profile is an in-depth assessment to help employers make informed hiring decisions based on objective information. Receive the test and consultation with a representative for $265.

State-specific Compliance Training by Traliant

Immersive learning experiences on topics like sexual harassment and prevention, workplace safety, HR, diversity and inclusion. Receive 10% off.

Stationery, Signage and Promotional Items by ANRO and Conlins Printing

Work directly with the vendor who will guide you through the process of ordering business cards, envelopes, letterhead, banners, lawn signs, table throws, posters and more. Receive 15–30% off.

Additional Online Certifications

- Alcohol Safety by LiquorTraining.com – $11 per server
- Food Handlers and Managers by StateFoodSafety – 10% off
- CPR and First Aid by Protraining – 10% off

Use your policyholder benefits to their fullest.
Visit bizresourcecenter.com to get started.



24/7 CLAIM REPORTING

In our continuing effort to provide you with excellent claim service, you may now report a claim and get claim assistance 24 hours a day/7 days a week.

For claim reporting, call toll free 1-888-875-5231 or visit USLI.COM and select the "report a claim" option.

For emergency claims requiring immediate assistance, please use the toll free option. Your call will be referred to a claims professional who will respond within an hour of your call with direction and assistance.

Thank you for placing your trust in our company. We pledge to work hard every day to earn and maintain that trust.



USLI.COM
888-523-5545

Privacy Notice At Collection

We may need to collect certain personal information to provide you with our services and products. For information on how we store, use and protect personal information, please see our Privacy Policy accessible on our website, **https://www.usli.com/privacy-policy/**.

FREE PRIVACY BREACH RISK MANAGEMENT RESOURCES

eRiskHub®



WILL YOU BE PREPARED WHEN A PRIVACY BREACH OCCURS?

Every year, thousands of privacy breaches are reported, exposing millions of people's personal information. The eRiskHub® portal, powered by NetDiligence®, is an effective way to combat privacy breaches and other types of cyber losses.

With your USLI policy, you will receive instructions on how to access and begin using the eRiskHub® portal—a benefit that is valued in excess of $1,200 a year!

eRiskHub® an all-in-one resource for becoming educated about and prepared for a privacy breach. This free service is available to USLI policyholders.

Using proprietary tools anchored in proven risk management principals, NetDiligence® provides a full range of enterprise-level information security, e-risk insurability and regulatory compliance assessment and testing services. NetDiligence® supports and is endorsed by some of the world's largest network liability insurance underwriters.

HOW TO START USING THIS FREE OFFERING:

- Go to **eriskhub.com/usli**
- Select "**Register Now**" to set up a free account
- Create your own username and password;

  your access code is **08451**

KEY FEATURES OF THE ERISKHUB® PORTAL



Data breach calculators: Learn how to estimate the cost of a breach, notifications and business interruption.



Learning center: Explore best practices articles, white papers and webinars from leading technical and legal experts. Highlighted topics include PCI compliance and social engineering.



Security training: Watch videos to learn about best practices in security and privacy awareness, or download a training guide.



Risk manager tools: Discover how your cybersecurity measures up to industry best-practices with a self-assessment, and find other resources to assist you with cyber risk management such as sample privacy policies.



Ransomware resources: Listen to experts discuss challenges and best practices to prevent ransomware attacks, and browse our site to discover the impact of an attack based on hundreds of real incidents.



Consultation: Our Breach Coach, HIPPA Coach and Security Coach are available to assist you.

This document does not amend, extend or alter the coverage afforded by the policy. For a complete understanding of any insurance you purchase, you must first read your policy, declaration page and any endorsements and discuss them with your agent. A sample policy is available from your agent. Your actual policy conditions may be amended by endorsement or affected by state laws. USLI companies are members of the Berkshire Hathaway family of companies and have an A++ Superior rating for financial stability from AM Best. The insuring company names are United States Liability Insurance Company, Mount Vernon Fire Insurance Company, and U.S. Underwriters Insurance Company.

NEW
Renewal of Number

POLICY DECLARATIONS

Mount Vernon Fire Insurance Company

1190 Devon Park Drive, Wayne, Pennsylvania 19087

A Member Company of United States Liability Insurance Group

No. PT 2002514

NAMED INSURED AND ADDRESS:

DIGITAL CRISIS, LLC
5718 WESTHEIMER RD. SUITE 1000
HOUSTON, TX 77057

This insurance contract is with an insurer not licensed to transact insurance in this state and is issued and delivered as a surplus line coverage under the Texas insurance statutes. The Texas Department of Insurance does not audit the finances or review the solvency of the surplus lines insurer providing this coverage, and this insurer is not a member of the property and casualty insurance guaranty association created under Chapter 462, Insurance Code. Chapter 225, Insurance Code, requires payment of 4.85 percent tax on gross premium.

POLICY PERIOD: (MO. DAY YR.) From: 11/12/2025 To: 11/12/2026

12:01 A.M. STANDARD TIME AT YOUR MAILING ADDRESS SHOWN ABOVE

IN RETURN FOR THE PAYMENT OF THE PREMIUM, AND SUBJECT TO ALL THE TERMS OF THIS POLICY, WE AGREE WITH YOU TO PROVIDE THE INSURANCE AS STATED IN THIS POLICY.

THIS POLICY CONSISTS OF THE FOLLOWING COVERAGE PARTS FOR WHICH A PREMIUM IS INDICATED.

	PREMIUM
Pro+ect Coverage Part - Professional Lines	$2,556.00
Surplus Lines Tax	$123.97
Stamping Fee	$1.02
TOTAL:	**$2,680.99**

Coverage Form(s) and Endorsement(s) made a part of this policy at time of issue

See Endorsement EOD (1/95)

Agent: **ALEXANDER J. WAYNE & ASSOCIATES (1710)**
2551 N. Clark St. Suite 601
Chicago, IL 60614-4533

Broker:

Issued: **11/12/2025 2:09 PM**

By: Thomas P. Kenney
Authorized Representative

THESE DECLARATIONS TOGETHER WITH THE COMMON POLICY CONDITIONS, COVERAGE PART DECLARATIONS, COVERAGE PART COVERAGE FORM(S) AND FORMS AND ENDORSEMENTS, IF ANY, ISSUED TO FORM A PART THEREOF, COMPLETE THE ABOVE NUMBERED POLICY.

EXTENSION OF DECLARATIONS

Policy No. PT 2002514

Effective Date: **11/12/2025**
12:01 AM STANDARD TIME AT YOUR MAILING ADDRESS

FORMS AND ENDORSEMENTS

The following forms apply to the Errors And Omissions Liability coverage part

Endt#	*Revised*	*Description of Endorsements*
2110	04/15	Service Of Suit
Jacket	07/19	Policy Jacket
PL 1 PFAS	03/23	Exclusion - Perfluoroalkyl And Polyfluoroalkyl Substances (Pfas)
PT	09/18	Common Policy Terms And Conditions
PT 102	08/15	Application Endorsement
PT 134	09/18	Kidnap Expense Endorsement
PT 160	08/15	Reputation Restoration Expense Endorsement
PT 166	08/15	Subpoena Response Assistance Endorsement
PT 169	09/18	Third Party Discrimination Coverage Endorsement
PT 174	02/22	War And Terrorism Exclusion Endorsement
PT 213	08/20	Hardware Replacement (Bricking) Expense Coverage Endorsement
PT 214	08/20	Invoice Manipulation Endorsement
PT 215	08/20	Cryptojacking (Utility Fraud) Endorsement
PT 216	08/20	Voluntary Shutdown Coverage Endorsement
PT 217	08/20	Enhanced Criminal Reward Fund Endorsement
PT 218	11/20	Sanction Limitation and Exclusion Clause
PT 219	05/21	Exclusion of Statutory Damages and Claim Expenses Associated with Biometric Information
PT 541	02/22	Extension of Terrorism Coverage
PT A	09/18	Coverage Part A Professional and Technology Errors and Omissions Liability
PT B	09/18	Coverage Part B Media Liability
PT C	09/18	Coverage Part C Network Security and Privacy Liability
PT D	09/18	Coverage Part D Privacy Breach Expense
TRIADN PT	05/22	Policyholder Disclosure Notice of Terrorism Insurance Coverage
TX Notice MTV	10/23	Important Notice

PRO+ECT COVERAGE PART - PROFESSIONAL LINES DECLARATIONS

PLEASE READ YOUR POLICY CAREFULLY.

THIS IS A CLAIMS MADE COVERAGE FORM AND UNLESS OTHERWISE PROVIDED HEREIN, THE COVERAGE OF THIS FORM IS LIMITED TO LIABILITY FOR CLAIMS FIRST MADE DURING THE POLICY PERIOD, OR THE EXTENDED REPORTING PERIOD, IF APPLICABLE. DEFENSE COSTS SHALL BE APPLIED AGAINST THE RETENTION.

No. PT 2002514

Effective Date: **11/12/2025**
12:01 AM STANDARD TIME

ITEM I. NAMED INSURED AND PRINCIPAL ADDRESS

DIGITAL CRISIS, LLC
5718 WESTHEIMER RD. SUITE 1000
HOUSTON, TX 77057

ITEM II. POLICY PERIOD: (MM/DD/YYYY) From: 11/12/2025 To: 11/12/2026

ITEM III. TOTAL POLICY AGGREGATE LIMIT OF INSURANCE:

Not Applicable

A. Coverage Part A. Professional and Technology Errors and Omissions Liability

1. PROFESSIONAL SERVICES
   Technology and Internet services for others for a fee

2. LIMITS OF LIABLITY:

Professional & Technology E&O Liability:	$1,000,000	EACH CLAIM
Coverage Part A:	$1,000,000	IN THE AGGREGATE

3. DEDUCTIBLE: $1,000 EACH CLAIM
4. RETROACTIVE DATE: 11/12/2025

PLEASE READ YOUR POLICY CAREFULLY.

THIS IS A CLAIMS MADE COVERAGE FORM AND UNLESS OTHERWISE PROVIDED HEREIN, THE COVERAGE OF THIS FORM IS LIMITED TO LIABILITY FOR CLAIMS FIRST MADE DURING THE POLICY PERIOD, OR THE EXTENDED REPORTING PERIOD, IF APPLICABLE. DEFENSE COSTS SHALL BE APPLIED AGAINST THE RETENTION.

No. PT 2002514

Effective Date: **11/12/2025**
12:01 AM STANDARD TIME

B. Coverage Part B. Media Liability

1. COVERED MEDIA ACTIVITY
   See Policy for Media Activity Definition

2. LIMITS OF LIABLITY:

Media Liability	$1,000,000	EACH CLAIM
Intellectual Property Injury	$1,000,000	EACH CLAIM AND IN THE AGGREGATE
Coverage Part B:	$1,000,000	IN THE AGGREGATE

3. DEDUCTIBLE: $1,000 EACH CLAIM
4. RETROACTIVE DATE: 11/12/2025

PLEASE READ YOUR POLICY CAREFULLY.

THIS IS A CLAIMS MADE COVERAGE FORM AND UNLESS OTHERWISE PROVIDED HEREIN, THE COVERAGE OF THIS FORM IS LIMITED TO LIABILITY FOR CLAIMS FIRST MADE DURING THE POLICY PERIOD, OR THE EXTENDED REPORTING PERIOD, IF APPLICABLE. DEFENSE COSTS SHALL BE APPLIED AGAINST THE RETENTION.

No. PT 2002514

Effective Date: **11/12/2025**
12:01 AM STANDARD TIME

C. Coverage Part C. Network Security & Privacy Liability

1.	LIMITS OF LIABLITY:		
	Network Security & Privacy Liability:	$1,000,000	EACH CLAIM
	Regulatory Claims:	$1,000,000	EACH CLAIM AND IN THE AGGREGATE
	Payment Card Industry (PCI) Fines and Penalties:	$1,000,000	EACH CLAIM AND IN THE AGGREGATE
	Payment Card Industry Assessments:	$1,000,000	EACH CLAIM AND IN THE AGGREGATE
	Coverage Part C:	$1,000,000	IN THE AGGREGATE
2.	DEDUCTIBLE:	$1,000	EACH CLAIM
3.	RETROACTIVE DATE:	11/12/2025	

PLEASE READ YOUR POLICY CAREFULLY.

THIS IS A CLAIMS MADE COVERAGE FORM AND UNLESS OTHERWISE PROVIDED HEREIN, THE COVERAGE OF THIS FORM IS LIMITED TO LIABILITY FOR CLAIMS FIRST MADE DURING THE POLICY PERIOD, OR THE EXTENDED REPORTING PERIOD, IF APPLICABLE. DEFENSE COSTS SHALL BE APPLIED AGAINST THE RETENTION.

No. PT 2002514

Effective Date: **11/12/2025**
12:01 AM STANDARD TIME

D. Coverage Part D. Privacy Breach Expense

1. LIMITS OF LIABLITY:

Privacy Breach Expense:	$1,000,000	EACH CYBER EVENT
Cyber Extortion Threat Expense:	$1,000,000	EACH CYBER EVENT AND IN THE AGGREGATE
Data Asset Restoration:	$1,000,000	EACH CYBER EVENT AND IN THE AGGREGATE
Reputation Damage:	$1,000,000	EACH CYBER EVENT AND IN THE AGGREGATE
Business Interruption Loss and Extra Expense:	$1,000,000	EACH CYBER EVENT AND IN THE AGGREGATE
Dependent Business Interruption Loss and Extra Expense:	$1,000,000	EACH CYBER EVENT AND IN THE AGGREGATE
System Failure and Extra Expense:	$1,000,000	EACH CYBER EVENT AND IN THE AGGREGATE
Social Engineering Fraud:	$100,000	EACH CYBER EVENT AND IN THE AGGREGATE
Telecommunications Fraud:	$100,000	EACH CYBER EVENT AND IN THE AGGREGATE
Wire Transfer Fraud:	$100,000	EACH CYBER EVENT AND IN THE AGGREGATE
Coverage Part D:	$1,000,000	IN THE AGGREGATE

2. DEDUCTIBLE, WAITING PERIODS, AND PERIOD OF INDEMNITY:

Deductible:	$1,000	EACH CYBER EVENT
Reputation Damage Waiting Period:	12 hours	EACH CYBER EVENT
Period of Indemnity:	180 days	EACH CYBER EVENT
Business Interruption Waiting Period:	12 hours	EACH CYBER EVENT

3. RETROACTIVE DATE: 11/12/2025

PRO+ECT COVERAGE PART - PROFESSIONAL LINES DECLARATIONS

PLEASE READ YOUR POLICY CAREFULLY.

THIS IS A CLAIMS MADE COVERAGE FORM AND UNLESS OTHERWISE PROVIDED HEREIN, THE COVERAGE OF THIS FORM IS LIMITED TO LIABILITY FOR CLAIMS FIRST MADE DURING THE POLICY PERIOD, OR THE EXTENDED REPORTING PERIOD, IF APPLICABLE. DEFENSE COSTS SHALL BE APPLIED AGAINST THE RETENTION.

No. PT 2002514

Effective Date: **11/12/2025**
12:01 AM STANDARD TIME

ITEM IV. Coverage Form(s)/ Part(s) and Endorsement(s) made a part of this policy at time of issue:
See endorsement EOD (01/95)

This page has been intentionally left blank.

Service Of Suit

Pursuant to any statute of any state, territory or district of the United States which makes provisions therefore, the Company hereby designates the Superintendent, Commissioner or Director of Insurance or other officer specified for that purpose in the Statute, or his successors in office, as our true and lawful attorney upon whom may be served any lawful process in any action, suit or proceeding instituted by or on behalf of the insured(s) or any beneficiary hereunder arising out of this contract of insurance, and hereby designate the below named as the person to whom the said officer is authorized to mail process or a true copy thereof.

It is further agreed that service of process in such suit may be made upon the General Counsel of the Company, or his nominee, at 1190 Devon Park Drive, Wayne, Pennsylvania 19087 and that in any suit instituted against any one of them upon this policy, the Company will abide by the final decision of such Court or any Appellate Court in the event of an appeal.

INSURANCE

POLICY

UNITED STATES LIABILITY INSURANCE GROUP

A STOCK COMPANY

A BERKSHIRE HATHAWAY COMPANY

1190 Devon Park Drive
Wayne, PA 19087-2191
888-523-5545 – USLI.COM

This policy jacket together with the policy declarations, coverage forms and endorsements, if any, complete this policy.

The enclosed declarations designates the issuing company.

Read your policy carefully!

In Witness Whereof, the company has caused this Policy to be executed and attested. Where required by law, this Policy shall not be valid unless countersigned by a duly authorized representative of the company.

Secretary



President



This endorsement changes insurance provided under the following:

NON PROFIT MANAGEMENT LIABILITY POLICY
COMMUNITY ASSOCIATION DIRECTORS AND OFFICERS LIABILITY COVERAGE FORM
PUBLIC OFFICIALS LIABILITY
PROPERTY MANAGERS ERRORS AND OMISSIONS
PROPERTY MANAGERS TENANT DISCRIMINATION
PROFESSIONAL AND TECHNOLOGY ERRORS AND OMISSIONS LIABILITY
TECHNOLOGY PROFESSIONAL LIABILITY COVERAGE FORM
ALLIED HEALTHCARE PROFESSIONAL LIABILITY COVERAGE FORM
MICRO PRO PROFESSIONAL LIABILITY COVERAGE FORM
SPECIFIED PROFESSIONS PROFESSIONAL LIABILITY COVERAGE FORM
TECHNOLOGY PROFESSIONAL LIABILITY INSURANCE COVERAGE
INSURANCE AGENTS AND BROKERS PROFESSIONAL LIABILITY COVERAGE FORM

EXCLUSION – PERFLUOROALKYL AND POLYFLUOROALKYL SUBSTANCES (PFAS)

This insurance does not apply to:

Perfluoroalkyl And Polyfluoroalkyl Substances
The **Company** shall not be liable to make payment for, as defined by the applicable policy above; **Loss, Defense Costs, Claim(s) Expense(s)** or **Cyber Event** in connection with any **Claim** made against the **Insured** arising out of, directly or indirectly resulting from, in consequence of, in whole or in part, or in any way involving any actual or alleged;

a. threatened or suspected inhalation, ingestion, absorption, consumption, discharge, dispersal, seepage, migration, release or escape of, contact with, exposure to, existence of, or presence of, any **perfluoroalkyl or polyfluoroalkyl substances**; and
b. abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to or assessing the effects of, **perfluoroalkyl or polyfluoroalkyl substances**, by any **Insured** or by any other person or entity.

Perfluoroalkyl or polyfluoroalkyl substances means any:

1. Chemical or substance that contains one or more alkyl carbons on which hydrogen atoms have been partially or completely replaced by fluorine atoms, including but not limited to:
    a. Polymer, oligomer, monomer or nonpolymer chemicals and their homologues, isomers, telomers, salts, derivatives, precursor chemicals, degradation products or by-products;
    b. Perfluoroalkyl acids (PFAA), such as perfluorooctanoic acid (PFOA) and its salts, or perfluorooctane sulfonic acid (PFOS) and its salts;
    c. Perfluoropolyethers (PFPE);
    d. Fluorotelomer-based substances; or

Includes copyrighted material of Insurance Services Office, Inc. with its permission

e. Side-chain fluorinated polymers

2. Good or product, including containers, materials, parts or equipment furnished in connection with such goods or products, that consists of or contains any chemical or substance described in Paragraph 1.

All other terms and conditions of this policy are the same. This endorsement is a part of your policy. It takes effect on the effective date of your policy unless another effective date is shown.

Includes copyrighted material of Insurance Services Office, Inc. with its permission

COMMON POLICY TERMS AND CONDITIONS

Notice: Coverage Part A, Professional and Technology Errors and Omissions Liability, **Coverage Part** B, Media Liability and **Coverage Part** C, Network Security and Privacy Liability provide coverage on a claims made basis. This means that these **Coverage Parts,** when purchased, cover only those **Claims** first made against an **Insured** during the **Policy Period** or Extended Reporting Period, if purchased. **Claim Expenses** shall be applied against the Deductible applicable to the **Coverage Part**.

In consideration of the payment of the premium and reliance upon all statements made and information furnished to the **Company**, including the statements made in the **Application** and all attachments and materials submitted therewith and subject to all the provisions of this Policy, the **Company** agrees as follows:

I. DEFINITIONS

The following defined words have a special meaning and are highlighted throughout this Policy by bold print.

A. **Application** means:
   (1) an application(s) and any material submitted for this Policy, and
   (2) an application(s) and any material submitted, for all previous Policies issued by the **Company** providing continuous coverage until the inception date of this Policy.

   The content of (1) and (2), above, are incorporated by reference in this Policy as if physically attached hereto.

B. **Bad Press** means a report or communication of an actual or potential **Privacy Breach** or **Security Event** which has been publicized through any media channel, including, but not limited to, television, print media, radio or electronic networks, the internet, or electronic mail, and threatens material damage to your reputation or brand.

C. **Breach Notice Law** means any statute or regulation that requires an **Insured** to give timely notice to persons whose **Personally Identifiable Information** was accessed or reasonably may have been accessed by an unauthorized person.

D. **Business Interruption Loss** means the following occurring during a **Period of Restoration**:
   (1) any net profit or loss before income taxes that would have been earned or incurred; and
   (2) the **Insured Entity(s),** as applicable, normal, fixed operating and payroll expenses.

   Business Interruption Loss does not mean:
   (1) loss of bank interest or investment income; or
   (2) loss arising out of any liability to any **Third Party**; or
   (3) legal costs or any legal expenses; or
   (4) **Claims** or **loss** incurred as a result of unfavorable business conditions, loss of market or any other consequential loss; or
   (5) costs or expenses incurred by any **Insured** to identify, fix or prevent a future **Cyber Event.**

   Business Interruption Loss resulting from multiple interruptions or suspensions of the **Insured Entity(s**) computer systems, as applicable, that arise out of or result from the same or a continuing **Cyber Event** or from related or repeated **Cyber Events,** or from multiple **Cyber Events,** shall be deemed to be a single **Business Interruption Loss**; provided, however, that a separate **Business Interruption Waiting Period** shall apply to each **Period of Restoration**.

   In determining **Business Interruption Loss**, the **Company** will consider the **Insured Entity(s)** net profit or loss before income taxes and normal fixed operating and payroll expenses from business operations immediately prior to the beginning of the **Period of Restoration** and will make any necessary adjustments based on expected market conditions and the volume and type of business actually on the **Insured Entity** books or reasonably certain to be put on the **Insured Entity(s)** books, as applicable, during the **Period of Restoration**. If the **Insured Entity** is operating at a net loss, continuing expenses will only be paid to the extent that they exceed the amount of the net loss.

   Additionally, the **Company** will reduce the amount paid for **Business Interruption Loss** under the Policy to the extent the **Insured Entity** is able to reduce or limit such interruption or suspension **of Insured Entity(s)** computer systems and/or resume business operations by other reasonable means but fails to do so.

E. **Business Interruption Waiting Period** means the period of time commencing on the date and time the **Period of Restoration** begins and ending after the time period specified on the Policy Declarations. A **Business Interruption Waiting Period** shall apply separately to each **Period of Restoration**.

F. **Claim** means:
   (1) any written assertion or demand for liability, financial compensation, or non-monetary relief against any **Insured**; or
   (2) any judicial or administrative proceeding initiated against any **Insured** including any appeal of such proceeding that any person or entity intends to hold such **Insured** responsible for a **Wrongful Act**; or
   (3) any **Disciplinary Proceeding**, mediation or arbitration initiated against any **Insured** covered under **Coverage Part** A when purchased; or
   (4) any request to toll the statute of limitations relating to a potential **Claim** involving an alleged **Professional Wrongful Act** for **Coverage Part** A or **Media Wrongful Act** for **Coverage Part** B, or **Network Security and Privacy Wrongful Act** for **Coverage Part** C, when purchased.

   A **Claim** shall be considered first made when any **Key Personnel,** or any legal representative of an **Insured Entity,** first receives notice of a **Claim**.

G. **Claim Expenses** means reasonable and necessary legal fees and expenses incurred by the **Company** or by any attorney designated by the **Company** to defend any **Insured** and all other fees, costs, costs of attachment or similar bonds (without any obligation on the part of the **Company** to apply for or furnish such bonds) resulting from the investigation, adjustment, defense and appeal of a **Claim**, but does not include salaries, wages, overhead or benefits expenses of any **Insured** or **Loss**.

H. **Company** means the insurer identified in the Policy Declarations.

I. **Covered Content** means material of any kind or nature whatsoever (including but not limited to words, pictures, sounds, images, graphics, code and data) that communicates information, regardless of the method or medium of communication of such material (including but not limited to print, broadcast, digital and electronic communication, and software) or the purpose for which the communication is intended (including but not limited to news, advertising, information, entertainment, corporate communications and art).

J. **Covered Media Activity** means the activity described in the Policy Declarations, "COVERED MEDIA ACTIVITY" under **Coverage Part** B, Media Liability. If "COVERED MEDIA ACTIVITY in the Policy Declarations is left blank, **Covered Media Activity** shall mean **Media Activity** as defined in these COMMON POLICY TERMS AND CONDITIONS.

K. **Coverage Part(s)** means individually or collectively, as applicable, the purchased **Coverage Part(s**) as set forth in the Policy Declarations and attached to and made a part of this Policy.

L. **Cyber Event** means a **Privacy Breach**, **Cyber Extortion Threat, Notification, Bad Press, Security Event, Dependent Business Interruption, System Failure, Social Engineering Fraud, Telecommunications Fraud** or **Wire Transfer Fraud.**

M. **Cyber Expense** means **Payment Card Industry Fines and Penalties, Payment Card Industry Assessments, Privacy Breach Expense, Regulatory Claims, Cyber Extortion Threat Expense, Reputation Damage, Business Interruption Loss,** or **Cyber Crime Loss.**

N. **Cyber Extortion Threat** means a threat made to the **Insured Entity** by an individual, entity or organization who is not an **Insured** to:
   (1) sell or publicly disclose **Personally Identifiable Information** held by the **Insured Entity**; or
   (2) alter, destroy, damage, delete or corrupt any **Data Asset**; or
   (3) prevent access to the **Insured Entity's** computer system or **Data Assets**, including a **Denial of Service Attack** or encrypting a **Data Asset** and withholding the decryption key for such **Data Asset**; or
   (4) perpetrate a theft or misuse of a **Data Asset** on the **Insured Entity's** computer system through external access; or
   (5) interrupt or suspend the **Insured Entity's** computer system; unless a **Cyber Extortion Threat Payment** is received from or on behalf of the **Insured Entity**.

O. **Cyber Extortion Threat Expense** means the following costs approved in advance by the Company and paid by or on behalf of the **Insured Entity**, as applicable:
   (1) a **Cyber Extortion Threat Payment** made under duress by or on behalf of the **Insured Entity** for the sole purpose of preventing or terminating a **Cyber Extortion Threat.**
   (2) payment for an independent negotiator or security consultant to resolve a **Cyber Extortion Threat**. Nothing herein shall obligate the **Company** to recommend, select, retain or arrange, manage or supervise such independent negotiator or security consultant nor shall the Company be liable, beyond what is covered under this policy, for the acts or omissions of such negotiator or consultant.
   (3) a reward up to $10,000 paid by the **Insured Entity**, as applicable, to an informant, who is not an **Insured**, for information which leads to the arrest and conviction of the person(s) responsible for a **Cyber Extortion Threat**.

P. **Cyber Extortion Threat Payment** means cash or cash equivalents (including, but not limited to, cryptocurrency) demanded to prevent or terminate a **Cyber Extortion Threat**.

Q. **Cyber Crime Loss** means:
(1) your loss of **Money**, **Securities** or tangible goods; or
(2) charges for unauthorized telecommunications calls,
directly caused by **Social Engineering Fraud, Telecommunications Fraud** or **Wire Transfer Fraud** and does not include any amounts reimbursed to you by any financial institution or telecommunications company.

R. **Data Asset** means any software or electronic data that exists in a computer system including computer programs, applications, account information, customer information, private or personal information, marketing information, financial information and any other information maintained by the **Insured Entity** in its ordinary course of business.

S. **Denial of Service Attack** means an event caused by unauthorized or unexpected interference or malicious attack designed to overwhelm the capacity of a computer system by sending an excessive volume of electronic data for the purpose of preventing access to the computer system.

T. **Dependent Business Interruption** means an unintentional and unplanned interruption of computer systems operated by any entity that is not a part of an **Insured Entity** but which provides necessary products or service to an **Insured Entity** pursuant to a written contract.

U. **Disciplinary Proceeding** means any proceeding by a licensing board, accreditation body or governmental agency with authority to regulate the **Professional Services** performed by an **Insured** or to investigate charges of wrong doing by an **Insured** in the rendering or failing to render **Professional Services**.

V. **Domestic Partner** means any natural person qualifying as a domestic partner under the provisions of any applicable federal, state or local law.

W. **Electronic Data Damage** means any damages resulting from the intentional or willful destruction of a **Data Asset.**

X. **Employee** means any natural person whose labor or service is engaged by and directed by the **Insured Entity** while performing duties related to the conduct of the **Insured Entity's** business and includes leased, part-time, seasonal and temporary workers, interns and volunteers. **Employee** does not include an independent contractor.

Y. **Extra Expense** means reasonable and necessary expenses incurred by an **Insured** to resume business operations following a **Cyber Event** that causes or requires the interruption or suspension of the **Insured Entity(s)** computer systems which are over and above expenses the **Insured Entity** would have normally incurred but for the **Cyber Event**. **Extra Expenses** do not include any costs of updating, upgrading, or remediation of the **Insured Entity(s)** computer systems that are not otherwise covered under **Business Interruption Loss**.

Z. **Insured** means:
(1) the **Named Insured** and shall include any partner, director, officer or **Employee** thereof while acting within the scope of their duties as such;
(2) any former or retired partner, director, officer or **Employee** of the **Named Insured**, but only while acting within the scope of their duties as such on behalf of the **Insured Entity** prior to the date of separation or retirement from the **Insured Entity**;
(3) any independent contractor under contract with the **Named Insured** while acting solely on the **Named Insured's** behalf;
(4) any **Subsidiary** of the **Named Insured**;
(5) in the event of death, incompetency, insolvency or bankruptcy of any **Insured**, such **Insured's** legal representative while acting within the scope of his or her duties as such.

AA. **Insured Entity** means the **Named Insured** or **Subsidiary**, as applicable

AB. **Intellectual Property Injury** means infringement of copyright, title, slogan, logo, trademark, trade name, domain name or trade dress, and/or the dilution of trademark or service mark**.**

AC. **Internet Services** means services performed on the worldwide public network of computers as it currently exists or may be manifested in the future, including the internet, intranet, extranet, cloud, or virtual private network by an **Insured** including consulting on the function and use of such network technology, constructing or maintaining a website, and the integration of electronic information and business processes within a website.

AD. **Key Personnel** means the individuals holding the following positions in an **Insured Entity**: President; owner, partner; executive officers, including the Chief Executive Officer, Chief Operating Officer, and Chief Financial Officer; General Counsel; Chief Information Officer; Chief Security Officer; Chief Privacy Officer; managing member of a limited liability company; and any individual in a substantially similar position as

those referenced above, or with substantially similar responsibilities as those referenced above, irrespective of the exact title of such individual, and any individual who previously held any of the above referenced positions.

AE. **Loss** means the amount which an Insured becomes obligated to pay as a result of any covered **Claim** or **Cyber Event** including:
(1) damages, settlements and pre-judgment and post judgment interest awarded by a court against any **Insured**;
(2) punitive, exemplary, or multiplied damages to the extent such damages are insurable under applicable law;
(3) **Cyber Expense**

Loss shall not include:
(1) criminal or civil fines, penalties or taxes, imposed by law against the **Insured**, except as covered in **Coverage Part** C, Network Security and Privacy Liability; and
(2) matters deemed uninsurable under the law pursuant to which this Policy shall be construed; and
(3) return of or dispute over fees, charges, or commissions charged or collected by the **Insured** for goods or services; and
(4) discounts, coupons, prizes, awards or other incentives offered to the **Insured's** customers or clients; and
(5) nonmonetary relief including the costs of the **Insured's** compliance with, or any **Loss** incurred as a result of an injunction or other equitable order or judgment.
(6) **Claim Expenses.**

For the purpose of determining the insurability of punitive damages and exemplary damages, the laws of the jurisdiction most favorable to the insurability of such damages shall control, provided that such jurisdiction has a substantial relationship to the **Named Insured** or to the person or entity bringing the **Claim** giving rise to the damages.

AF. **Media Activity** means the display, broadcast, publication, dissemination, distribution or release of **Covered Content** by the **Insured** or any person, including an independent contractor acting on the behalf of the **Insured Entity**, and/or the gathering, creation, collection or recording of such **Covered Content** for inclusion in any display, broadcast, dissemination, distribution or release by the **Insured**. It shall also include the dissemination of **Covered Content** by any party with whom the **Insured** has entered into a written, oral, or implied-in-fact hold harmless or indemnity agreement regarding such **Covered Content**.

AG. **Media Injury** means:
(1) **Personal Injury;** and
(2) **Intellectual Property Injury;** and
(3) negligence in **Covered Content** or negligence in content as described in the Policy Declarations, Item III, **Coverage Part** B, whichever is applicable. This includes harm caused through any reliance or failure to rely upon such content.

AH. **Media Wrongful Act** means any actual or alleged **Media Injury** committed in the course of or arising out of **Covered Media Activity**.

AI. **Merchant Services Agreement** means any agreement between the **Insured Entity** and a financial institution, credit/debit card company, credit/debit card processor or independent service operator enabling an **Insured** to accept credit card, debit card, prepaid card, or other payment cards for payments or donations.

AJ. **Money** means a medium of exchange in current use and authorized or adopted by a domestic or foreign government, including but not limited to, currency, coins, bank notes, bullion, traveler's checks, registered checks and money order held for sale to the public.

AK. **Named Insured** means the individual, partnership, corporation or other entity stated in ITEM I of the Policy Declarations.

AL. **Network Security and Privacy Wrongful Act** means any actual or alleged act, error, omission, misstatement, misleading statement, neglect or breach of duty committed by an **Insured** or any person, including an independent contractor acting on the behalf of the **Insured Entity** for whom the **Insured** is legally liable in the rendering of **Professional Services** that results in:
(1) a **Privacy Breach**; or
(2) the transmission of malicious code; or
(3) unauthorized access to any computer system; or
(4) use of the **Insured Entity's** computer system in a **Denial of Service Attack** against a **Third Party's** computer system; or
(5) a denial of authorized electronic access to any computer system; or

(6) the misappropriation or deliberate public disclosure of **Third Party Corporate Information** without the authorization or permission of the **Insured Entity,** its **Key Personnel** or the owner of such information and without the knowledge, consent or acquiescence of **Key Personnel;** or
(7) the inadvertent disclosure of **Third Party Corporate Information;** or
(8) violation of **Privacy Law ;** or
(9) a **Privacy Policy Violation;** or
(10) violation of any **Breach Notice Law** resulting from a **Privacy Breach; or**
(11) any of (1) – (10) above arising out of **Social Engineering**.

AM. **Notification** means written notice to affected individuals in the event of a **Privacy Breach,** suspected **Privacy Breach**, or **Security Event.**

AN. **Payment Card Industry Fines and Penalties** means monetary fines and penalties.

AO. **Payment Card Industry Assessments** means costs incurred by the payment card company, issuing bank, or acquiring bank to replace credit or debit cards whose card numbers were compromised or costs incurred to refund fraudulent charges.

AP. **Payment Card Industry Wrongful Act** means an **Insured's** actual or alleged noncompliance with published Payment Card Industry Data Security Standards as outlined under the terms of a **Merchant Services Agreement**. Such act(s) of noncompliance must have resulted in a notice to the **Company** of a **Privacy Breach.**

AQ. **Period of Indemnity** means the period of time commencing with the earlier of the date of **Notification** or the first **Bad Press,** and ending on the earlier of:
(1) the date that gross revenues are restored to the level they had been prior to **Notification** or the first **Bad Press**, whichever applies, or
(2) the last day of the time period set forth in Item 2. DEDUCTIBLE, WAITING PERIODS, AND PERIOD OF INDEMNITY under **Coverage Part** D, Privacy Breach Expense on the Declarations Page.

AR. **Period of Restoration** means the period of time, up to a maximum of one hundred and eighty (180) days, commencing on the date and time that a caused or required suspension or interruption of the **Insured Entity(s)** computer systems first occurs and ending on the date and time that the caused or required interruption or suspension ends, or reasonably would have ended if the **Insured Entity** had acted with due diligence to restore the computer systems and mitigate the **Business Interruption Loss** as provided below. **The Period of Restoration** will be deemed continuing if, within one (1) hour of such restoration, the systems are caused or are required to be suspended or interrupted as a result of the same **Cyber Event** that caused the **Business Interruption Loss.**

AS. **Personal Injury** means:
(1) wrongful entry or eviction or other invasion of private occupancy; or
(2) libel, slander, defamation or disparagement of the goods, products, services, character or reputation of a third-party, plagiarism, piracy or misappropriation of ideas under implied contract; or
(3) intentional infliction of emotional distress; or
(4) disparagement or harm to the reputation or character of any person or organization; or
(5) invasion, infringement or interference with a third-party's right of privacy or publicity including false light and public disclosure of private facts, commercial misappropriation of name, persona, voice or likeness; or
(6) false arrest, detention or imprisonment or malicious prosecution.

AT. **Personally Identifiable Information** means the following non-public information in the care, custody and control of the **Insured**, or those acting on behalf of the **Insured**:
(1) information, both in electronic and non-electronic form, concerning an individual(s) that would be considered "non-public information" within the meaning of Title V of the Gramm-Leach Bliley Act of 1999 (as amended) and its implementing regulations including but not limited to social security numbers or account numbers; and
(2) personal information as defined in any U.S. federal, state or local privacy protection law governing the control and use of an individual's personal and confidential information, including any regulations promulgated thereunder; and
(3) personal information as defined in any foreign statute, including EU General Data Protection Regulation (2016/679), governing the control and use of an individual's personal and confidential information, including any regulations promulgated thereunder; and
(4) protected health information as defined by the Health Insurance Portability and Accountability Act of 1996 (Public Law 104-191) ("HIPPA") or the Health Information Technology for Economic and Clinical Health Act of 2009 ("HITECH") (Public Law 111-5), as amended, and any regulations promulgated thereto.

AU. **Policy Period** means the period from the effective date of this Policy set forth in the Policy Declarations to the expiration date or the effective date of cancellation or non-renewal, if any.

AV. **Privacy Breach** means the misappropriation, theft, loss of, unauthorized access, inadvertent disclosure or public exposure of **Personally Identifiable Information. Privacy Breach** does not mean a situation where **Personally Identifiable information** is deliberately disclosed or sold to a **Third Party** with the knowledge and consent of **Key Personnel**; or

AW. **Privacy Breach Expense** means the reasonable and necessary expenses listed below in (1) through (9) resulting from a **Privacy Breach,** suspected **Privacy Breach**, or **Security Event** and incurred by the **Insured Entity** or assumed under a written contract or agreement**.**

(1) development of a response plan to assist the **Insured Entity**; and
(2) development, printing, and mailing of legally required notification letters to affected persons; and
(3) development, printing and mailing of non-legally required notification letters to affected or potentially affected persons at the **Company's** discretion; and
(4) public relations or crisis management services retained for the **Insured Entity(s)** to mitigate any adverse effect on the **Insured Entity's** reputation with customers, investors and employees resulting from a **Privacy Breach** that becomes public; and
(5) data analysis or forensic investigation; and
(6) development of a website link for use by the **Insured Entity** in communicating with affected persons; and
(7) development and support of a Customer Relationship Management (CRM) system and call center for use by the **Insured Entity** in communicating with affected persons; and
(8) credit monitoring services that are reasonable and necessary to those affected persons; and
(9) the cost for **Data Asset** restoration resulting from **Electronic Data Damage** but not including:
   a) the cost to update or improve any **Data Asset** or computer system to a level beyond that which existed prior to such **Electronic Data Damage**; or
   b) the economic or market value of any **Data Asset**.

AX. **Privacy Law** means a federal, state, local, or foreign statute or regulation governing the confidentiality, access, control, and use of **Personally Identifiable Information.**

AY. **Privacy Policy Violation** means the **Insured Entity's** actual or alleged:

(1) failure to have or appropriately display a privacy policy ; or
(2) failure to comply with any foreign, federal, state, or local statutes, ordinances, regulations or other laws regarding the **Insured Entity's** privacy policy; or
(3) breach of the **Insured Entity's** privacy policy; or
(4) changing of the terms of the **Insured Entity's** privacy policy.

AZ. **Professional Services** means services performed for others by an **Insured** and rendered solely in the conduct of the profession stated in "Professional Services" in **Coverage Part** A of the Policy Declarations. **Professional Services** includes **Technology Services** and/or **Internet Services** only if these services are specifically shown in the Policy Declarations**.**

BA. **Professional Wrongful Act** means any actual or alleged error, omission, negligent act, or unintentional breach of contract resulting from the rendering of or failure to render **Professional Services** by an **Insured** or any person, including an independent contractor acting on the behalf of the **Insured Entity**, for whom the **Insured** is legally liable in the rendering of **Professional Services**

BB. **Regulatory Notice/Proceeding** means a request for information, civil investigation, civil proceeding or other similar proceeding directed to an **Insured** and brought by or on behalf of any federal, state, local, or foreign regulatory agency, related to an actual or alleged violation of any **Privacy Law**. This definition includes any proceeding regarding the Health Insurance Portability and Accountability Act of 1996 (HIPAA) Privacy, Security and Breach Notification Rules or regarding EU General Data Protection Regulation (2016/679).

BC. **Regulatory Wrongful Act** means an **Insured's** actual or alleged violation of a **Privacy Law** which results in a **Regulatory Notice/Proceeding** against an **Insured**.

BD. **Reputation Damage** means your net profit, as could have reasonably been projected immediately prior to **Notification**, or in the event of **Bad Press**, immediately prior to the publication of **Bad Press**, but which has been lost during the **Period of Indemnity** as a direct result of such **Bad Press** or **Notification. Reputation Damage** will be calculated by taking into account:

(1) the prior experience of the **Insured Entity** preceding the date of **Bad Press** or **Notification**, whichever applies, and the **Insured Entity's** likely net profit, had no **Bad Press** been published or **Notification** occurred. Net profit will include the amount of money paid or payable to the **Insured Entity** for goods,

products, or services sold, delivered, or rendered in the normal course of the **Insured Entity's** business;

(2) income derived from substitute methods, facilities, or personnel the **Insured Entity** uses to maintain the **Insured Entity's** revenue stream;

(3) the **Insured Entity's** documentation of the trends in their business and variations in, or other circumstances affecting their business before or after **Bad Press** or **Notification**, which would have affected their business had no **Bad Press** been published or **Notification** occurred;

(4) any fixed operating expenses (including ordinary payroll), but only to the extent that such operating expenses must continue during the **Period of Indemnity**.

BE. **Reputation Damage Waiting Period** means the period of time commencing on the date and time the **Period of Indemnity** begins and ending after the time period specified on the Policy Declarations. A **Reputation Damage Waiting Period** shall apply separately to each **Period of Indemnity.**

BF. **Securities** mean negotiable or non-negotiable instruments or contracts representing money or, including cryptocurrency or; tangible property which has intrinsic value, but does not include **Money**

BG. **Security Event** means:

(1) an unauthorized access of the **Insured Entity's** computer system(s); or

(2) transmission of malicious code or virus to the **Insured Entity's** computer system(s); or

(3) a **Denial of Service Attack** against an **Insured Entity's** computer system(s).

BH. **Social Engineering** means **Key Personnel** or an **Employee** receiving intentional, misleading or deceptive telephonic or electronic communications from a **Third Party** falsely purporting to be an **Insured Entity** or an **Insured Entity's** client, vendor, **Key Personnel** or **Employee.**

BI. **Social Engineering Fraud** means:

(1) the written, electronic or telephonic instruction transmitted to a financial institution by an **Key Personnel** or **Employee** as a result of **Social Engineering**, and which directs the financial institution to debit an **Insured Entity's** account and to transfer, pay or deliver money or securities from an **Insured Entity's**account; or

(2) the release of goods by **Key Personnel** or an **Employee** as a result of **Social Engineering**, and which causes loss of the goods due to being delivered to a fraudulent address.

BJ. **Subsidiary** means, for the purpose of this Policy, any entity which is more than fifty percent (50%) owned or controlled by the **Named Insured** as of the effective date of this Policy and is disclosed as a subsidiary in an **Application** to the **Company** or any entity which becomes more than fifty percent (50%) owned or controlled by the **Named Insured** during the **Policy Period** subject to the provisions of Section XVII. "ACQUISITION OR CREATION OF ANOTHER ENTITY" of this Common Policy Terms and Conditions.

BK. **System Failure** means the unintentional and unplanned outage, in part or in total, of the **Insured Entity's** computer systems.

BL. **Technology Products** means a computer or telecommunications hardware or software product, or related electronic product that is created, manufactured or developed by the **Insured Entity** for others, or distributed, licensed, leased or sold by the **Insured Entity** to others, for compensation, including software updates, service packs and other maintenance releases provided for such products.

BM. **Technology Services** means information technology services performed by an **Insured** for others including but not limited to computer consulting, systems analysis, installation, programming, data processing, system integration, software development and design, sale or distribution of **Technology Products,** disaster recovery, record retrieval, management and repair or maintenance of computer products, networks, or systems, and education and training services related to the above.

BN. **Telecommunications Fraud** means the intentional, unauthorized and fraudulent gaining of access to outgoing telephone service through infiltration and manipulation of an any telephone or fax network or system that the **Insured Entity** own, rent, lease, license, or borrow.

BO. **Third Party** means any person or entity other than an **Insured Entity**, **key personnel** or an **employee**.

BP. **Third Party Corporate Information** means information (including, but not limited to, trade secrets) held by any **Insured** on behalf of an organization other than an **Insured**:

(1) that is subject to any form of confidentiality agreement or confidentiality provision in a contract or agreement between the organization and any **Insured**; or

(2) which the **Insured** is legally required to maintain in confidence.

However, **Third Party Corporate Information** does not include publicly available information that is or becomes generally available to the public, or becomes available to the public from a source other than an **Insured**.

BQ. **Wire Transfer Fraud** means:

(1) an intentional, unauthorized and fraudulent written, electronic, or telephonic instruction transmitted to a financial institution, directing such institution to debit your account and to transfer, pay or deliver money or securities from **your** account, which instruction purports to have been transmitted by an **Insured Entity**, **Key Personnel,** or an **Employee**, but was in fact fraudulently transmitted by a **Third Party** without the **Insured Entity's** knowledge or consent; or
(2) the theft of **Money** or **Securities** by electronic means from the **Insured Entity's** bank account, cryptocurrency wallet or corporate credit cards.

BR. **Wrongful Act** as used in these Common Policy Terms and Conditions means **Professional Wrongful Act** as pertains to **Coverage Part** A, when purchased**, Media Wrongful Act** as pertains to **Coverage Part** B, when purchased**, Network Security and Privacy Wrongful Act** as pertains to **Coverage Part** C, when purchased**, Regulatory Wrongful Act** as pertains to **Coverage Part** C, when purchased and **Payment Card Industry Wrongful Act** as pertains to **Coverage Part** C, when purchased.

II. EXCLUSIONS

The **Company** shall not be liable for **Loss** or **Claim Expenses** on account of any **Claim** or **Cyber Event**:

A. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged conduct by any person that is criminal, fraudulent, dishonest or with the intent to cause damage or the gaining by any **Insured** of any personal profit, remuneration or advantage to which an **Insured** was not legally entitled; however,
   (1) this exclusion shall not apply to **Claim Expenses** incurred until a final, non-appealable judgment or adjudication is rendered against the **Insured** as to this conduct; or an **Insured** has admitted, stipulated or pleaded no contest to such conduct; and
   (2) coverage shall continue for those **Insureds** who did not personally commit, participate in, acquiesce in or remain passive after having personal knowledge of such conduct.

B**.** arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged **Claim** by or on behalf of any **Insured** against any other **Insured;** however, this exclusion shall not apply to a **Privacy Breach** directly affecting any current or former **Employee** or independent contractor of the **Insured**; or

C. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged
   (1) bodily injury, sickness, disease, or death of any person including any mental anguish or emotional distress that results from such bodily injury, sickness, disease , or death: or
   (2) damage to, destruction of loss of use of any tangible property or

D. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged activity by any **Insured** in a fiduciary capacity as respects any employee benefit or pension plan under the Employee Retirement Income Security Act of 1974 (ERISA) or any amendments thereof or similar state, federal or local statutory laws or common law; or

E. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged violation of any securities, anti-trust, restraint of trade, unfair trade practices, consumer protection, or other similar law by any person, including but not limited to any **Insured;** however, this exclusion shall not apply to consumer protection laws otherwise covered under **Coverage Part** C**,** Network Security and Privacy Liability and **Coverage Part** D**,** Privacy Breach Expense, when purchased; or

F. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged prior or pending litigation, administrative, disciplinary or regulatory proceeding, demand, arbitration, decree, or judgment, **Claim**, **Wrongful Act** or **Cyber Event**:
   (1) of which any **Key Personnel** had notice before the effective date of this Policy;
   (2) or any fact, circumstance, event, or situation, that could reasonably be expected to give rise to such prior or pending actions or proceedings which before the effective date of this Policy was the subject of any notice to any **Key Personnel**;
   (3) or any future actions or proceedings based upon or related to such prior or pending actions or proceedings or derived from the same or essentially the same actual or alleged facts;

   provided that, if this Policy is a renewal of a Policy or Policies previously issued by the **Company** and if the coverage provided by the **Company** was continuous from the effective date of the first such other Policy to the effective date of this Policy, the reference in this exclusion to "effective date" will mean the effective date of the first Policy under which the **Company** first provided continuous coverage to the **Insured**; or

G. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged:

(1) discrimination of any kind including but not limited to age, color, race, sex, creed, national origin, marital status, sexual preference, disability or pregnancy; or
(2) harassment including any unwelcome sexual advances, requests for sexual favors or other verbal or physical conduct of a sexual nature, or other behavior which creates a hostile, intimidating or offensive environment; or
(3) refusal to employ, termination of employment, or employment related coercion, demotion, evaluation, reassignment, discipline, defamation, harassment, humiliation, or discrimination of employment, or other employment-related practices, policies, acts or omissions; or

H. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged threatened discharge, dispersal, release or escape of any solid, liquid, gaseous, bacterial, fungal, electromagnetic, thermal or other substance that can be toxic or hazardous, cause irritation to animals or persons and/or cause contamination to property and the environment including smoke, vapor, soot, fumes, acids, alkalis, chemicals, toxic materials, "volatile organic compound" and gases therefrom, radon, combustion byproducts and waste. Specific examples identified as pollutants include, but are not limited to, diesel, kerosene, and other fuel oils . . . carbon monoxide, and other exhaust gases . . . mineral spirits, and other solvents . . . tetrachloroethylene, perchloroethylene (PERC), trichloroethylene (TCE), methylene chloroform, and other dry cleaning chemicals, chlorofluorocarbons, chlorinated hydrocarbons, adhesives, pesticides, insecticides, and all substances specifically listed, identified, or described by one or more of the following references: Comprehensive Environmental Response, Compensation, and Liability Act (CERCLA) Priority List Hazardous Substances (1997 and all subsequent editions), Agency for Toxic Substances And Disease Registry ToxFAQs™, and/or U.S. Environmental Protection Agency EMCI Chemical References Complete Index into or upon land, the atmosphere or any water course or body of water, whether or not such actual, alleged or threatened discharge, dispersal, release or escape is sudden, accidental or gradual in nature, or any cost or expense arising out of any request, demand, or order that the Insured or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize any pollutants;
"Volatile organic compound" means any compound which discharges organic gases as it decomposes or evaporates, examples of which include but are not limited to formaldehyde, pesticides, adhesives, construction materials made with organic chemicals, solvents, paint varnish and cleaning products.
"Waste" means any property intended to be disposed, recycled, reused or reclaimed by the owner or user thereof; or

I. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged performance of or failure to perform **Professional Services** or **Media Activity** for:
(1) any **Insured**, or
(2) any entity owned or controlled by any person or entity included within the definition of **Insured**, or
(3) any person or entity which owns or controls any entity included within the definition of **Insured**, or
(4) any entity which is under common ownership or control with any entity included within the definition of **Insured**, or
(5) any entity of which any person included within the definition of **Insured** is a director, officer, partner or more than thirty-five percent (35%) shareholder; or

J. for a suit for fees initiated by any **Insured** against any past or current client of any **Insured**; or

K. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged infringement of patent, patent rights or misuse of patent; or

L. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged disclosure, misuse, misappropriation or theft of trade secrets; however, this exclusion shall not apply to any **Claim** resulting from a **Network Security and Privacy Wrongful Act** as applicable to **Coverage Part** C, when purchased; or

M. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged misappropriation, wrongful use, wrongful disclosure or infringement of copyright, trademark, trade name, trade dress, domain name, service mark, service name, logo, title, metalog, or slogan by any person, including but not limited to any Insured; however, this exclusion shall not apply to any **Claim** resulting from a **Media Wrongful Act** as applicable to **Coverage Part** B, when purchased; or

N. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged confidential information or trade secrets that came into the possession of any person prior to the date he or she became an **Employee**, officer, director, volunteer, principal, member or partner of the **Insured Entity**; or

O. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged **Wrongful Acts** or **Cyber Events** of a **Subsidiary** prior to the date that such entity became a **Subsidiary** or at any time that such entity is not a **Subsidiary**; or

P. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged reprinting, recall, removal or disposal of any information in the form of words, sounds, numbers, images, advertising or graphics in electronic, print or broadcast form, including any media or products containing the aforementioned items but not including customized computer software. This exclusion shall not apply to **Third Party Claims** for the resulting loss of use of the above or loss of use of the work product of the above within **Coverage Part** B, MEDIA LIABILITY, when purchased; or

Q. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged contractual liability, obligation, warranty, representation or guarantee including:
   (1) any breach of a written contract; and
   (2) liability assumed under a written contract or agreement, except as provided below; and
   (3) guarantees or promises relating to cost estimates, contract prices, cost savings, profits or return on investment; and

   except this exclusion shall not apply to:
   (1) liability assumed under a written contract or agreement covered under **Coverage Part** C, Network Security and Privacy Liability and **Coverage Part** D, Privacy Breach Expense, when purchased; or
   (2) liability the **Insured** would have in the absence of a contract, agreement, warranty or guarantee; or
   (3) unintentional breach of a written contract resulting from the rendering of or failure to render **Professional Services**; or
   (4) misappropriation of ideas under implied contract under **Coverage Part** B, Media Liability or the dissemination of **Covered Content** by any party with whom the **Insured** has entered into a written, oral, or implied-in-fact hold harmless or indemnity agreement regarding such **Covered Content** under **Coverage Part** B, Media Liaibility, when purchased; or
   (5) **Payment Card Industry Fines and Penalties** and **Payment Card Industry Assessments** the **Insured Entity** is obligated to pay under a **Merchant Services Agreement** resulting from the **Insured Entity's Payment Card Industry Wrongful Act(s).**

R. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged unsolicited electronic dissemination of faxes, e-mails, text messages or similar communications to actual or prospective customers of the **Insured Entity**, or to any other **Third Party**, including but not limited to any violation of the Telephone Consumer Protection Act (TCPA), the CAN-SPAM Act of 2003 or the Fair Credit Reporting Act (FCRA) including any amendment of or addition to such laws or any federal, state or local statute, ordinance or regulation other than the TCPA, CAN-SPAM Act of 2003 or the FCRA and their amendments and additions that address, prohibit or limit the printing, dissemination, disposal, collecting, recording, sending, transmitting communicating or distribution of material or information except this exclusion shall not apply to any **Claim** resulting from a **Network Security and Privacy Wrongful Act** as applicable to **Coverage Part** C, when purchased; or

S. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged over redemption of coupons, awards or prizes from advertisements, promotions, games, sweepstakes, contests and games of chance. Over redemption means price discounts, prizes, awards, or other valuable consideration given in excess of the total contracted or expected amount

III. SPOUSAL AND DOMESTIC PARTNER EXTENSION

If a **Claim** against an **Insured** includes a **Claim** against the lawful spouse or **Domestic Partner** of such **Insured**, based solely on (a) such spouse's or **Domestic Partner's** status or (b) such spouse's or **Domestic Partner's** ownership interest in property or assets that are sought as recovery for a **Wrongful Act**, then any **Loss** which such spouse or **Domestic Partner** becomes legally obligated to pay on account of (a) or (b) above shall be deemed a **Loss** which the **Insured** becomes legally obligated to pay.

All definitions, exclusions, terms and conditions of this Policy, including the Deductible, applicable to any **Claim** against or **Loss** sustained by such **Insured** shall also apply to this coverage extension.

The extension of coverage afforded by this section, (III..), shall not apply to any **Claim** arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged **Wrongful Acts** by such spouse or **Domestic Partner**.

IV. DEFENSE AND SETTLEMENT

A. The **Company** has the right and duty to defend any **Claim** under such **Coverage Part(s)** even if the allegations of the **Claim** are groundless, false or fraudulent, subject to all the provisions, terms and conditions of this Policy.

B. The **Company**, as it deems expedient, has the right to investigate, adjust, defend, appeal, negotiate and, with the consent of the **Named Insured**, compromise on or settle any **Claim** whether within or above the Deductible. If the **Named Insured** is a partnership, professional corporation, or limited liability company, a consent to compromise or settle by a current partner, director, officer, member or board member is binding on any other **Insured**. If the **Named Insured** refuses to consent to a compromise or settlement recommended by the **Company**, the **Company's** obligation to any **Insured** for **Loss** and **Claim Expenses** attributable to such **Claim(s)** shall be limited to:
   (1) the amount of the covered **Loss** in excess of the Deductible which the **Company** would have paid in settlement at the time the **Named Insured** first refused to settle or compromise;
   (2) plus covered **Claim Expenses** incurred up to the date the **Named Insured** first refused to settle or compromise;
   (3) plus eighty percent (80%) of covered **Claim Expenses** and **Loss** in excess of the first settlement or compromise amount recommended by the **Company** to which the **Named Insured** did not consent.

   It is understood that payment of (1), (2) and (3), above, is the limit of the **Company's** liability under the applicable **Coverage Part(s)** for any **Claim** in which the **Named Insured** fails or refuses to consent to the **Company's** settlement or compromise recommendation, subject at all times to the Limits of Liability and Deductible provisions of the applicable **Coverage Part(s)**. The remaining twenty percent (20%) of **Loss** and **Claim Expenses** in excess of the amount referenced in (1) and (2), above, shall be the obligation of the **Insured**.

C. An **Insured** shall not demand or agree to arbitration of any **Claim** without the written consent of the **Company**. An **Insured** shall not, except at personal cost, make any offer or payment, admit any liability, settle any **Claim**, assume any obligation, or incur any expense without the **Company's** written consent.

D. Except as otherwise provided in this Policy, if a **Claim** is made against an **Insured** for acts that are both covered and not covered, the **Company** will pay one hundred percent (100%) of the **Claim Expenses** for the **Claim** until such time that the Limits of Liability of the applicable insuring agreement are exhausted or the **Claim** is resolved by settlement, verdict or summary judgment.

V. POLICY TERRITORY

This policy shall extend to any **Wrongful Act** or **Cyber Event** committed or occurring anywhere in the world.

VI. EXTENDED REPORTING PERIOD

The Extended Reporting Period is available only for **Coverage Part** A, B & C.

A. If the Policy expires, is cancelled or non-renewed for any reason other than non payment of premium, the **Named Insured** shall have the right to purchase an Extended Reporting Period to report to the **Company** as soon as practicable during the Extended Reporting Period, any **Claim(s)** first made against an **Insured** during the twelve (12) months, or twenty-four (24) months or thirty-six (36) months after the effective date of such expiration, cancellation or non-renewal (depending upon the Extended Reporting Period purchased). An Extended Reporting Period shall only apply to a **Wrongful Act** committed before the date of the Policy expiration, cancellation or non-renewal. For the purpose of this clause, any change in premium terms or terms on renewal shall not constitute a refusal to renew.

B. The additional premium for the Extended Reporting Period shall be seventy-five percent (75%) of the annual premium set forth in the Policy Declarations for the twelve (12) month period; one hundred twenty-five percent (125%) of the annual premium set forth in the Policy Declarations for the twenty-four (24) month period; and one hundred fifty percent (150%) of the annual premium set forth in the Policy Declarations for the thirty-six (36) month period. The Extended Reporting Period begins on the expiration date or the effective date of cancellation or non-renewal of the Policy. The **Named Insured** must notify the **Company** in writing and must pay the additional premium due no later than sixty (60) days after the effective date of such expiration, cancellation or non-renewal.

C. All premiums paid with respect to the Extended Reporting Period shall be deemed fully earned as of the first day of the Extended Reporting Period.

D. The Limits of Liability available during the Extended Reporting Period shall not exceed the balance of the Limits of Liability available on the expiration date or effective date of the cancellation or non-renewal of the Policy.

E. Coverage for **Claim(s)** first received and reported during the Extended Reporting Period shall be excess over any other valid and collectible insurance providing coverage for such **Claim(s)**.

VII. NOTICE/CLAIM REPORTING PROVISIONS

Notice hereunder shall be given in writing to the **Company**. If mailed, the date of mailing of such notice shall constitute the date that such notice was given and proof of mailing shall be sufficient proof of notice.

A. Written Notice of a **Claim** or **Cyber Event**
   (1) As a condition precedent to exercising any right to coverage under this Policy, the **Insured** shall give written notice to the **Company** of a **Claim** or **Cyber Event** as soon as practicable after **Key Personnel** learns of such **Claim** or **Cyber Event** during the **Policy Period** in which the **Claim** or **Cyber Event** is first made against or discovered by an **Insured** but:
      a. if the **Policy Period** expires, is cancelled or is non-renewed and if no Extended Reporting Period is purchased, no later than sixty (60) days after the expiration date or the effective date of such cancellation or non-renewal for **Claims** or **Cyber Events** first made against or discovered by an **Insured** during the last sixty (60) days prior to the **Policy Period** expiration or effective date of cancellation or nonrenewal; or
      b. if an Extended Reporting Period is purchased, no later than the last day of the Extended Reporting Period and the **Claim** must arise from a **Wrongful Act** committed before the date of the Policy expiration, cancellation or non-renewal. If an Extended Reporting Period is purchased, notice of a **Claim** shall be in accordance with the terms and conditions of Section VI. EXTENDED REPORTING PERIOD.

      provided that if the **Company** sends written notice to the **Named Insured** stating that this Policy is being terminated for nonpayment of premium, an **Insured** shall give to the **Company** written notice of such **Claim** or **Cyber Event** prior to the effective date of such termination.

B. Written Notice of a Circumstance
   (1) An **Insured** shall give to the **Company** written notice of a circumstance which could reasonably be expected to give rise to a **Claim** or **Cyber Event** being made against or happening to an **Insured** as soon as practicable during the **Policy Period** in which an **Insured** first becomes aware of the circumstance.
   (2) If written notice of a circumstance which could reasonably be expected to give rise to a **Claim** or **Cyber Event** being made against or happening to an **Insured** has been given to the **Company** during the **Policy Period** or the Extended Reporting Period, where applicable and if purchased, any **Claim** or **Cyber Event** which is subsequently made against an **Insured** and reported to the **Company** alleging, arising out of, based upon or attributable to the facts alleged in the reported circumstance shall be considered first made at the time such notice of the circumstance was given. Coverage for a circumstance reported pursuant to this provision applies only if the **Wrongful Act** that is a subject of the reported circumstance or the **Cyber Event** occurs prior to the expiration date or, if applicable, prior to the effective date of cancellation or non-renewal of the **Policy Period** in which the circumstance was reported.
   (3) When reporting a circumstance to the **Company**, an **Insured** shall give the reasons for anticipating why the circumstance could reasonably be expected to give rise to a **Claim, Cyber Event** being made against the **Insured** with full particulars as to the dates and persons involved.

VIII. CANCELLATION OR NON-RENEWAL

A. This Policy may be canceled by the **Named Insured** by either (1) surrender of the Policy thereof to the **Company** at its address stated on the Policy Declarations or (2) by delivering to the **Company** written notice requesting cancellation and in either case stating when, thereafter such cancellation shall be effective.
B. If the Policy is canceled by the **Named Insured** for a reason other than the closing or sale of the **Named Insured's** business or the death of the sole proprietor where the **Named Insured** is a sole proprietorship, the **Company** shall retain the customary short rate proportion of the premium.
C. If the Policy is canceled by the **Named Insured** due to the closing or sale of the **Named Insured's** business or the death of the sole proprietor where the **Named Insured** is a sole proprietorship, the **Company** will calculate the return premium on a pro-rata basis.
D. The **Company** may cancel this Policy only in the event of the failure of the **Insured** to pay the premium when due by mailing to the **Named Insured** written notice when, not less than ten (10) days thereafter, such cancellation shall be effective.
E. In the event the **Company** refuses to renew this Policy, the **Company** shall mail to the **Named Insured**, not less than sixty (60) days prior to the end of the **Policy Period**, written notice of non-renewal. Such notice shall be binding on all **Insureds**.
F. The **Company** shall mail notice of Cancellation or Non-renewal with a certificate of mailing stating the effective date of Cancellation or Non-renewal and the specific reason(s) for Cancellation or Non-renewal,

which shall become the end of the **Policy Period**. Mailing of such notice shall be sufficient notice of Cancellation or Non-renewal.

G. If the Policy is canceled by the **Company**, earned premium shall be computed pro rata. Premium adjustment may be made at the time cancellation is affected or as soon as practicable thereafter.

IX. REPRESENTATIONS AND SEVERABILITY

A. The **Insureds** represent that the particulars and statements contained in the **Application** are true and agree that (1) those particulars and statements are the basis of this Policy and are to be considered as incorporated into and constituting a part of the Policy; (2) those particulars and statements are material to the acceptance of the risk assumed by the **Company**; and (3) this Policy is issued in reliance upon the truth of such representations.

B. Except for material facts or circumstances known to the person or persons signing the **Application**, no statement in the **Application** of knowledge or information possessed by an **Insured** shall be imputed to any other **Insured** for the purpose of determining the availability of coverage.

X. SUBROGATION

In the event of any payment under this Policy, the **Company** shall be subrogated to an **Insured's** right of recovery therefore against any person or entity and the **Insured** shall execute and deliver such instruments and papers and do whatever else is necessary to secure such rights. The **Insured** shall not do anything to prejudice such rights.

XI. CHANGES

Notice to any agent or knowledge by any agent shall not effect a waiver or change in any part of this Policy or stop the **Company** from asserting any right under the terms of this Policy, nor shall the terms of this Policy be waived or changed except by an endorsement, issued to form a part of this Policy.

XII. AUTHORIZATION CLAUSE AND NOTICES

By acceptance of this Policy, the **Insured** agrees that the **Named Insured** shall act on behalf of all **Insureds** with respect to the giving and receiving of any return premiums that may become due under the Policy. Notice to the **Named Insured** shall be directed to the individual named in the **Application**, or such other person as shall be designated by the **Named Insured** in writing, at the address of the **Named Insured**.
Such notice shall be deemed to be notice to all **Insureds**. The **Named Insured** shall be the agent of all **Insureds** to effect changes in the Policy or purchase an Extended Reporting Period.

XIII. ASSIGNMENT

Assignment of interest under this Policy shall not bind the **Company** until its consent is endorsed hereon.

XIV. OTHER INSURANCE

The Policy is excess of other valid and collectible insurance, including but not limited to any insurance under which there is a duty to defend, unless such other insurance is specifically written to be in excess of this Policy.

XV. TERMS OF POLICY CONFORM TO STATUTE

Terms of this Policy which are in conflict with the statutes of the state wherein this Policy is issued are hereby amended to conform to such statutes.

XVI. CHANGES IN CONTROL

If after the Inception Date of this Policy:

(1) the **Named Insured** merges into or consolidates with another entity such that the **Named Insured** is not the surviving entity; or

(2) another entity, person, or group of entities or persons acting in concert acquire more than fifty percent (50%) of the assets of the **Named Insured**; or

(3) another entity, person, or group of entities and/or persons acting in concert acquires the right to elect or select a majority of the directors of the **Named Insured**; or

(4) the **Named Insured** sells all or substantially all of its assets,

the above events being referred to as a "Transaction," this Policy shall continue in full force and effect until the expiration date of the Policy, or the effective date of non-renewal, if applicable, with respect to **Wrongful Acts**

or **Cyber Events** occurring before the Transaction, but there shall be no coverage under this Policy for actual or alleged **Wrongful Acts** or **Cyber Events** occurring on or after the Transaction.

The **Named Insured** shall give the **Company** written notice of the Transaction as soon as practicable, but not later than thirty (30) days after the effective date of the Transaction. As of the effective date of any Transaction, the entire premium for this Policy shall be deemed fully earned. .However, if the **Named Insured** provides notice of an impending "Transaction" or provides notice of a Transaction within thirty (30) days after the Transaction takes place, the **Named Insured** has the option to cancel the policy effective the day prior to the Transaction taking place. Such cancellation shall be subject to the terms outlined in the CANCELLATION OR NONRENEWAL section of the Policy.

In the event of a Transaction, the **Named Insured** shall have the right to an offer of coverage by the **Company** for an Extended Reporting Period to report **Wrongful Acts** occurring prior to the effective date of the Transaction

XVII. ACQUISITION OR CREATION OF ANOTHER ENTITY

If, after the beginning of the **Policy Period**, the **Named Insured**:

(1) acquires substantially all of the assets of another entity; or
(2) acquires voting securities in another entity or creates another entity, which as a result of such acquisition or creation becomes a **Subsidiary**; or
(3) acquires another entity by merger such that the **Named Insured** is the surviving entity,

then the coverage provided under this Policy shall apply to such new creation or acquisition; but only with respect to **Wrongful Acts** or **Cyber Events** occurring or allegedly occurring after the acquisition, merger or creation.

As a condition for any coverage under this section (XVII.) if the current year annual gross receipts of the new entity created or acquired under Paragraphs (1), (2) or (3), above, exceed thirty-five percent (35%) of the current year annual gross receipts of the **Named Insured** as reflected in the most recent **Application** on file with the **Company**, then coverage for such newly created or acquired entity will cease ninety (90) days after the effective date of such creation or acquisition unless, within such ninety (90) day period:

(1) the **Named Insured** provides the **Company** with written notice of such creation or acquisition; and
(2) the **Named Insured** provides the **Company** with such information in connection therewith as the **Company** may deem necessary; and
(3) the **Named Insured** accepts any special terms, conditions, exclusions, or additional premium charge as may be required by the **Company**; and
(4) the **Company**, in its sole discretion, agrees by written endorsement to provide such coverage.

The **Named Insured** is not required to provide written notice to the **Company** under this section if (1) the current year annual gross receipts of the newly created or acquired entity do not exceed thirty-five percent (35%) of the current year annual gross receipts of the **Named Insured** as reflected in the most recent **Application** on file with the **Company**; or (2) the creation or acquisition occurs less than ninety (90) days prior to the end of the **Policy Period**.

XVIII. TOTAL POLICY AGGREGATE LIMIT OF INSURANCE

The Total Policy Aggregate Limit of Insurance in Item III. of the Policy Declarations is the **Company's** maximum limit of liability for **Coverage Parts** A, B, C and D, including **Claim Expenses**. The Total Policy Aggregate Limit of Insurance does not increase the "EACH CLAIM" or "AGGREGATE" limit of liability of any one or more **Coverage Parts** of this Policy.

XIX. ACTION AGAINST THE COMPANY

A. No action shall lie against the **Company** unless as a condition precedent thereto, there shall have been full compliance with all of the terms of this Policy, and until the amount of an **Insured's** obligation to pay shall have been finally determined either by judgment against the **Insured** after actual trial or by written agreement of the **Insured**, the Claimant or the Claimant's legal representative, and the **Company**.
B. Any person or the legal representatives thereof who has secured such judgment or written agreement shall thereafter be entitled to recover under this Policy to the extent of the insurance afforded by this Policy. No person or entity shall have any right under this Policy to join the **Company** as a party to any action against the **Insured** to determine the **Insured's** liability, nor shall the **Company** be impleaded by the **Insured** or their legal representatives. Bankruptcy or insolvency of the **Insured** or their successors in interest shall not relieve the **Company** of its obligations hereunder.

XX. INTERRELATED ACTS

(1) The same **Wrongful Act** or **Cyber Event** by, against, or happening to one or more **Insureds;** or
(2) an interrelated series of **Wrongful Acts** or **Cyber Events** by, against, or happening to one or more **Insureds;** or
(3) a series of similar or related **Wrongful Acts** or **Cyber Events** by, against, or happening to one or more **Insureds**

shall be deemed to be one **Wrongful Act** or **Cyber Event** which occurred at the time of the earliest **Wrongful Act** or **Cyber Event** and for which only one deductible shall apply.

XXI. DEDUCTIBLE AND WAITING PERIOD

A. The **Company** shall have no obligation to pay any part or all of a deductible specified in the Policy Declarations. If the **Company**, at its sole discretion, elects to pay any part or all of a deductible, the **Insured**(s) agree to repay such amounts to the **Company** upon demand.
B. The **Company** shall be liable to pay only **Loss** and **Claim Expenses** in excess of a deductible specified in the Policy Declarations.
C. For **Coverage Part** D, if purchased, only the applicable waiting period shall apply to INSURING AGREEMENTS C. Reputation Damage, D. Business Interruptions Loss and Extra Expense; E. Dependent Business Interruption Loss and Extra Expense, or F. System Failure and Extra Expense. No deductible shall apply to those insuring agreements.

XXII. LIMITS OF LIABILITY

A. For **Claims** arising under **Coverage Part A, Coverage Part B**, except for **Claims** in any way arising or resulting from **Intellectual Property Injury**, and **Coverage Part C**, Insuring Agreement A. Network Security and Privacy Liability, **Claim Expenses** shall be in addition to the LIMITS OF LIABILITY shown in the Policy Declarations and the Total Policy Aggregate Limit of Insurance (as applicable); however, all other amounts paid under this policy including **Loss** and **Claim Expenses,** will reduce the applicable Limits of Liability and the Total Policy Aggregate Limit of Insurance (as applicable);
B. The Limits of Liability for the Extended Reporting Period, if applicable, shall be part of and not in addition to the LIMITS OF LIABILITY specified in the Policy Declarations;
C. The Limits of Liability shall apply separately to each consecutive annual period starting with the beginning of the **Policy Period** shown in the Policy Declarations. If this Policy is issued for a period of more than twelve (12) months but less than twenty four (24) months or if the **Policy Period** is extended after issuance, the extension and/or extended reporting period will be deemed part of the last **Policy Period** for the purposes of determining the applicable limits.

XXIII. NO DUPLICATE COVERAGE

If more than one **Coverage Part** is purchased, there is no coverage for the same **Loss**, **Claim Expenses**, fines, penalties, assessments, expenses or damages under more than one coverage part subject to the terms of this Policy.

XXIV. INSURED RESPONSIBILITIES

A. All **Insureds** agree to cooperate with the **Company**, and provide such assistance and information as the **Company** may reasonably request. Upon the **Company's** request, any **Insured** shall submit to examination and interrogation by a representative of the **Company**, under oath if required, and shall attend hearings, depositions, and trials and shall assist in the conduct of suits, including but not limited to effecting settlement, securing and giving evidence, obtaining the attendance of witnesses, giving written statements to the **Company's** representatives and meeting with such representatives for the purpose of investigation and/or defense, all of the above without charge to the **Company**. All **Insureds** further agree not to take any action which may increase any **Insured's** or the **Company's** exposure for **Claims Expense** or **Loss**.
B. All **Insureds** shall execute all papers required and shall do everything that may be necessary to secure and preserve any rights of indemnity, contribution or apportionment which an **Insured** or the **Company** may have, including the execution of such documents as are necessary to enable the **Company** to bring suit in an **Insured's** name, and shall provide all other assistance and cooperation which the Company may reasonably require.

XXV. ACCEPTANCE

This Policy embodies all agreements existing between the parties hereunder or any of their agents relating to this insurance.

This Endorsement modifies insurance provided under the following:
COMMON POLICY TERMS AND CONDITIONS
PROFESSIONAL AND TECHNOLOGY ERRORS AND OMISSIONS LIABILITY
MEDIA LIABILITY
NETWORK SECURITY AND PRIVACY LIABILITY
PRIVACY BREACH EXPENSE AND CYBER EXTORTION THREAT EXPENSE

Application Endorsement

It is agreed this Policy was issued on the basis of an **Application** which is attached to and made a part hereof. Nothing in the **Application** shall be construed, to vary, alter or amend any of the terms, conditions and limitations of or endorsements to the Policy. If there is any conflict or inconsistency between the terms used in the **Application** and the terms used in the Policy, the terms of the Policy shall control.

All other terms and conditions of this **Policy** remain unchanged. This endorsement is a part of the **Named Insured's Policy** and takes effect on the effective date of the **Named Insured's Policy** unless another effective date is shown.

This endorsement modifies insurance provided under the following:

COMMON POLICY TERMS AND CONDITIONS
PROFESSIONAL AND TECHNOLOGY ERRORS AND OMISSIONS LIABILITY

KIDNAP EXPENSE ENDORSEMENT

SCHEDULE OF COVERAGE AND LIMITS

COVERAGE:	LIMIT OF LIABILITY	
Kidnap Expense	$50,000	each **Kidnapping**
	$50,000	in the aggregate for all **Kidnapping** incidents

The following is added to **COVERAGE PART** A, PROFESSIONAL AND TECHNOLOGY ERRORS AND OMISSIONS LIABILITY, I. INSURING AGREEMENT:

C. Kidnap Expense
The **Company** will reimburse the **Insured Entity** up to the Kidnap Expense Limit of Liability stated in the schedule above, for the following reasonable costs paid by the **Insured Entity** as a result of a **Kidnapping** occurring during the Policy Period and reported to the **Company** during the **Policy Period** but in any event, no later than sixty (60) days after the **Kidnapping** occurs.

(1) Retaining an independent negotiator or consultant to facilitate the release of a **Kidnapping** victim. Nothing herein shall obligate the **Company** to recommend, select, retain or arrange for the retention of such independent negotiator or consultant;

(2) Interest on a loan obtained by the **Insured Entity** to pay expenses covered under this endorsement that are incurred as a result of a **Kidnapping**. However, there is no coverage for interest that accrues more than thirty (30) days prior to the date of such payment or subsequent to the date the **Company** pays any portion of a Kidnap Expense or for expenses not covered under this endorsement;

(3) Reasonable travel and accommodations incurred by the **Insured Entity** in direct response to a **Kidnapping**. Nothing herein shall obligate the **Company** to recommend, select, or arrange for such travel and accommodations;

(4) A reward up to $10,000 paid by the **Insured Entity** to an informant for information which leads to the arrest and conviction of the person(s) responsible for the **Kidnapping**;

(5) The current base salary paid to a director or officer who is a victim of a **Kidnapping** of the **Insured Entity** for the director or officer's work on behalf of the **Insured Entity**, subject to the following:

a. salary reimbursement shall commence on the thirty-first (31st) consecutive day after a **Kidnapping**;

b. salary reimbursement shall end when the director or officer is released; or is confirmed dead; or one hundred and twenty (120) days after the director or officer is last confirmed to be alive; or twelve (12) months after the date of the

Kidnapping, or when the Kidnap Expense Limit of Liability has been exhausted by payments made by the **Company**, whichever occurs first.
There is no coverage for Kidnap Expense resulting from a **Kidnapping** planned, carried out, participated in, supported, or facilitated directly or indirectly, by any person who is or was a member of the victim's family or the **Insured Entity,** its officers, directors, employees, agent or contractors.

COMMON POLICY TERMS AND CONDITIONS, I. DEFINITIONS is amended to add the following definition:

Kidnapping means an actual or alleged wrongful abduction and involuntary restraint of a director or officer of an **Insured Entity**, by one or more persons acting individually or collectively in which monetary or non-monetary demands are made to an **Insured Entity** to obtain the director or officer's release.

COMMON POLICY TERMS AND CONDITIONS, XXII. LIMITS OF LIABILITY, is amended to add the following:

The aggregate limit for all Kidnap Expense arising from **Kidnapping** shall be a part of and not in addition to the "IN THE AGGREGATE" Limit of Liability shown on the Policy Declarations for **Coverage Part** A, Professional and Technology Errors and Omissions Liability. The aggregate limit for this coverage is also a part of and not in addition to Item III. "Total Policy Aggregate Limit of Insurance" on the Policy Declarations, if applicable.

Any one **Kidnapping**, interrelated **Kidnapping** incidents or series of similar or related **Kidnapping** incidents for which coverage is provided under this endorsement shall be treated as one **Kidnapping** incident subject to the maximum Limit of Liability available under this endorsement at the time the incident(s) is first reported to the **Company** regardless of whether the incident(s) continues and expenses are incurred by the **Named Insured** in any subsequent Policy Period(s).

All other terms and conditions of this Policy remain unchanged. This endorsement is a part of the **Named Insured's** Policy and takes effect on the effective date of **Named Insured's** Policy unless another effective date is shown.

This endorsement modifies insurance provided under the following:

COMMON POLICY TERMS AND CONDITIONS
PROFESSIONAL AND TECHNOLOGY ERRORS AND OMISSIONS LIABILITY
MEDIA LIABILITY
NETWORK SECURITY AND PRIVACY LIABILITY
PRIVACY BREACH EXPENSE AND CYBER EXTORTION THREAT EXPENSE

Reputation Restoration Expense Endorsement

It is agreed:

The **Company** will pay on behalf of the **Named Insured**, **Reputation Restoration Expenses** resulting from the publication in a newspaper, magazine or other general circulation print publication or on the radio, television or other electronic broadcast of a covered **Claim**. Payment of expenses are subject to an aggregate limit of $100,000. The aggregate limit for this coverage shall be a part of and not in addition to the "IN THE AGGREGATE" Limit of Liability shown on the Policy Declarations for Coverage Part A Professional And Technology Errors And Omissions Liability. The aggregate limit for this coverage is also a part of and not in addition to Item III. "Total Policy Aggregate Limit of Insurance" on the Policy Declarations, if applicable.

When **Privacy Breach Expense** is triggered under Coverage Part D, the **Company** will not pay any **Reputation Restoration Expenses** and when **Reputation Restoration Expenses** are paid due to a **Claim**, the **Company** will not pay **Privacy Breach Expense**. No deductible shall apply to **Reputation Restoration Expense**.

Reputation Restoration Expenses means:

(1) Reasonable and necessary expenses charged by a public relations firm or other reputation restoration firm designated by the **Company** to mitigate the adverse impact of a **Claim** on the **Named Insured's** business reputation.

The above expenses will be paid only if all of the following conditions are met:

(1) The **Named Insured** has (a) first reported the **Claim** to the **Company** during the **Policy Period or** an Extended Reporting Period, as applicable, (b) obtained the **Company's** consent to payment of **Reputation Restoration Expenses** which consent will not be unreasonably withheld; and (c) uses a reputation restoration service provider designated by the **Company**; and
(2) The **Reputation Restoration Expenses** are directly related to a **Claim** covered under this Policy; and
(3) **Reputation Restoration Expenses** relate to services rendered within ninety (90) days following the first publication of a covered **Claim**; and
(4) **Reputation Restoration Expenses** are incurred for services provided, no more than twelve (12) months following the first reporting of a covered **Claim.**

All other terms and conditions of this Policy remain unchanged. This endorsement is a part of the **Named Insured's** Policy and takes effect on the effective date of the **Named Insured's** Policy**,** unless another effective date is shown.

This endorsement modifies insurance provided under the following:

COMMON POLICY TERMS AND CONDITIONS
PROFESSIONAL AND TECHNOLOGY ERRORS AND OMISSIONS LIABILITY
MEDIA LIABILITY
NETWORK SECURITY AND PRIVACY LIABILITY

Subpoena Response Assistance Endorsement

It is agreed that the **Company** will pay reasonable attorneys' fees excluding disbursements relating to an **Insured's** reasonable and necessary response to a subpoena for documents and/or witness testimony arising or resulting from **Professional Services** rendered by an **Insured**. Such subpoena must be first served on an Insured during the **Policy Period**, or if applicable, during any Extended Reporting Period and notice shall be given to the **Company** in writing as soon as practicable during the **Policy Period** or any Extended Reporting Period. Fees paid under this endorsement are a part of and not in addition to the Limits of Liability shown on the Declaration Page and are not subject to any deductible

Except, however, there is no coverage under this endorsement if:

(1) The subpoena arises out of or is related to any legal proceeding in which any Insured is or was a party; or
(2) The subpoena arises out of or is related to any prior legal proceeding in which any **Insured** is or has been engaged to provide testimony or opinion.

Notice of such subpoena provided in accordance with this endorsement shall be deemed Written Notice of a Circumstance as required in Section VII, NOTICE/CLAIM REPORTING PROVISIONS, B. of the COMMON POLICY TERMS AND CONDITIONS.

All other terms and conditions of this Policy remain unchanged. This endorsement is a part of the **Named Insured's** Policy and takes effect on the effective date of **Named Insured's** Policy unless another effective date is shown.

This endorsement modifies insurance provided under the following:

COMMON POLICY TERMS AND CONDITIONS
PROFESSIONAL AND TECHNOLOGY ERRORS AND OMISSIONS LIABILITY

THIRD PARTY DISCRIMINATION COVERAGE ENDORSEMENT

SCHEDULE OF COVERAGE AND LIMITS

COVERAGE:	LIMIT OF LIABILITY	
Third Party Discrimination	$25,000	each **Claim**
	$25,000	in the aggregate for all **Third Party Discrimination**

For the purposes of coverage provided under this endorsement only, it is agreed:

COMMON POLICY TERMS AND CONDITIONS, I. DEFINITIONS is amended to add the following definition:

> **Third Party Discrimination** means discrimination by an **Insured** against any person with whom an **Insured** in their capacity as such interacts while providing **Professional Services** related to the conduct of the **Named Insured's** business on the basis of age, sex, race, color, religion, disability, pregnancy, familial status, marital status, national origin, sexual preference or other protected class or characteristic established under applicable federal, state or local statute or ordinance.

COMMON POLICY TERMS AND CONDITIONS, I. DEFINITIONS, BA. **Professional Wrongful Act**, is deleted and replaced with the following:

> **Professional Wrongful Act** means any actual or alleged error, omission, negligent act, **Third Party Discrimination** or unintentional breach of a written contract resulting from the rendering of or failure to render **Professional Services** by an **Insured**. Such **Professional Wrongful Act** must occur during the **Policy Period** or on or after the Retroactive Date specified in the Policy Declarations.

COMMON POLICY TERMS AND CONDITIONS, XXII. LIMITS OF LIABILITY, is amended to add the following:

> The aggregate limit for **Third Party Discrimination** coverage shall be a part of and not in addition to the "IN THE AGGREGATE" Limit of Liability shown on the Policy Declarations for **Coverage Part** A, Professional and Technology Errors and Omissions Liability. The aggregate limit for this coverage is also a part of and not in addition to Item III. "Total Policy Aggregate Limit of Insurance" on the Policy Declarations, if applicable.

To the extent coverage is provided under this endorsement only, COMMON POLICY TERMS

AND CONDITIONS, II EXCLUSIONS, G.(1) shall not apply.

All other terms and conditions of this Policy remain unchanged. This endorsement is a part of the **Named Insured's** Policy and takes effect on the effective date of **Named Insured's** Policy unless another effective date is shown.

This endorsement modifies insurance provided under the following:

COMMON POLICY TERMS AND CONDITIONS
PROFESSIONAL AND TECHNOLOGY ERRORS AND OMISSIONS LIABILITY
MEDIA LIABILITY
NETWORK SECURITY AND PRIVACY LIABILITY
PRIVACY BREACH EXPENSE

WAR AND TERRORISM EXCLUSION ENDORSEMENT

It is agreed:

The Common Policy Terms and Conditions, section II. EXCLUSIONS, is amended to add the following exclusion:

> arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged war, including undeclared or civil war; warlike action by a military force, including action in hindering or defending against an actual or expected attack by any government, sovereign or other authority using military personnel or other agents; insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these; or **Terrorism**, including any action taken in hindering or defending against an actual or expected incident of **Terrorism** regardless of any other cause or event that contributes concurrently or in any sequence to the injury or damage.

Common Policy Terms and Conditions, section I., DEFINITIONS, is amended to add the following definition:

> **Terrorism** means activities against persons, organizations or property of any nature that involve the following or preparation for the following:
> (1) Use or threat of force or violence; or
> (2) Commission or threat of a dangerous act; or
> (3) Commission or threat of an act that interferes with or disrupts an electronic, communication, information, or mechanical system;
>
> and
>
> (1) The effect is to intimidate or coerce a government, or to cause chaos among the civilian population or any segment thereof, or to disrupt any segment of the economy; or
> (2) It is reasonable to believe the intent is to intimidate or coerce a government, or to seek revenge or retaliate, or to further political, ideological, religious, social or economic objectives or to express (or express opposition to) a philosophy or ideology.

All other terms and conditions of this Policy remain unchanged. This endorsement is a part of the **Named Insured's** Policy and takes effect on the effective date of **Named Insured's** Policy unless another effective date is shown.

This endorsement modifies insurance provided under the following:

COMMON POLICY TERMS AND CONDITIONS
PRIVACY BREACH EXPENSE

HARDWARE REPLACEMENT (BRICKING) EXPENSE COVERAGE ENDORSEMENT

COMMON POLICY TERMS AND CONDITIONS, Section I. DEFINITIONS, AW. **Privacy Breach Expense** is revised to include the following:

Hardware Replacement Expense

COMMON POLICY TERMS AND CONDITIONS, Section I. DEFINITIONS, is amended to add the following definition:

Hardware Replacement Expense means the cost incurred by the **Insured Entity** to replace computer hardware either owned or leased to, and operated by the **Insured Entity**, on which any **Data Asset** is stored and is not able to function as intended due to corruption or destruction of any software or firmware**.** The cost to replace such computer hardware will only be covered:

a. after reasonable efforts have been determined by and made by the **Company** to repair it and it is reasonably estimated by the **Company** to cost less to replace the computer hardware than it would to restore its functionality; or
b. if it is determined by the **Company** that the cost to replace the hardware or component will be less than the additional **Cyber Expense** that will be incurred if the computer hardware is not replaced.

Hardware Replacement Expense does not include the cost to update or improve the computer hardware to a level beyond which existed prior to a **Privacy Breach** or **Security Event** unless the computer hardware can be reasonably replaced only with updated or improved computer hardware.

COMMON POLICY TERMS AND CONDITIONS, Section II. EXCLUSIONS, item C. shall not apply to **Hardware Replacement Expense**.

All other terms and conditions of this Policy are the same. This endorsement is a part of the **Named Insured's** Policy. It takes effect on the effective date of **Named Insured's** Policy unless another effective date is shown.

This endorsement modifies insurance provided under the following:

COMMON POLICY TERMS AND CONDITIONS

INVOICE MANIPULATION ENDORSEMENT

For the purpose of this endorsement only, it is agreed:

Section I. DEFINITIONS, **Social Engineering** and **Social Engineering Fraud** of the Common Policy Terms and Conditions are deleted in their entirety and replaced with the following:

BH. **Social Engineering** means **Key Personnel,** an **Employee,** or an **Insured Entity's** client or vendor receiving intentional, misleading or deceptive telephonic or electronic communications from a **Third Party** falsely purporting to be an **Insured Entity** or an **Insured Entity's** client, vendor, **Key Personnel** or **Employee.**

BI. **Social Engineering Fraud** means:

(1) the written, electronic or telephonic instruction transmitted to a financial institution by a **Key Personnel** or **Employee** as a result of **Social Engineering**, and which directs the financial institution to debit an **Insured Entity's** account and to transfer, pay or deliver money or securities from an **Insured Entity's** account; or

(2) the release of goods by **Key Personnel** or an **Employee** as a result of **Social Engineering**, and which causes loss of the goods due to being delivered to a fraudulent address; or

(3) the **Insured Entity's** client or vendor transferring money or releasing goods that were intended for the **Insured Entity** to a **Third Party** as a result of **Social Engineering** that directly involves the use of the **Insured Entity's** computer system(s).

All other terms and conditions of this Policy are the same. This endorsement is a part of the **Named Insured's** Policy. It takes effect on the effective date of **Named Insured's** Policy unless another effective date is shown.

This endorsement modifies insurance provided under the following:

COMMON POLICY TERMS AND CONDITIONS
PRIVACY BREACH EXPENSE

UTILITY FRAUD (CRYPTOJACKING) ENDORSEMENT

For the purpose of this endorsement only, it is agreed:

Coverage Part D. Privacy Breach Expense, I. INSURING AGREEMENTS, G. Cyber Crime is deleted in its entirety and replaced with the following:

G. Cyber Crime

The **Company** will pay the **Insured Entity** for **Cyber Crime Loss(es)** sustained by the **Insured Entity** due to:

(1) **Social Engineering Fraud**;

(2) **Telecommunications Fraud;**

(3) **Utility Fraud**; and

(4) **Wire Transfer Fraud**;

that first occurs on or after the Retroactive Date stated in the Policy Declarations for this **Coverage Part** and which is first discovered during the **Policy Period.**

COMMON POLICY TERMS AND CONDITIONS is amended as follows:

Section I. DEFINITIONS, L. **Cyber Event**, is amended by the addition of the following:

Utility Fraud

Section I. DEFINITIONS, Q. **Cyber Crime Loss** is deleted and replaced with the following:

Cyber Crime Loss means:

(1) loss of **Money**, **Securities**, or tangible goods, including loss of any of the preceding held by the **Insured Entity** on behalf of a **Third Party**;

(2) charges for unauthorized telecommunications calls; or

(3) unauthorized **Utilities** charges,

directly caused by **Social Engineering Fraud**, **Telecommunications Fraud**, **Wire Transfer Fraud**, or **Utility Fraud** and does not include any amounts reimbursed to any **Insured** by any financial institution or telecommunications company.

Section I. DEFINITIONS, is amended to add the following definitions:

Utility Fraud means a **Security Event** that leads to the mining of cryptocurrency that directly results in additional costs incurred by the **Insured Entity** for **Utilities**; provided, however, that such additional costs for the **Utilities** are:

(1) incurred pursuant to a written contract, which was in effect before the **Utility Fraud** first occurred, between the **Insured Entity** and the respective utility provider; and
(2) included on a utility bill(s) issued to the **Insured Entity** by the respective utility provider, which includes usage or consumption information; and
(3) charged to the **Insured Entity** at the rate associated with the actual usage of such utility rather than at a flat fee; and
(4) due for payment during the **Policy Period**.

Utilities means electricity, natural gas, oil, or internet service.

Section XXII LIMITS OF LIABILITY is amended to add the following:

The limit of liability for **Utility Fraud** is part of and not in addition to the LIMITS OF LIABILITY for **Telecommunications Fraud** stated in the Declarations**.**

All other terms and conditions of this Policy are the same. This endorsement is a part of the **Named Insured's** Policy. It takes effect on the effective date of **Named Insured's** Policy unless another effective date is shown.

This endorsement modifies insurance provided under the following:

PRIVACY BREACH EXPENSE

VOLUNTARY SHUTDOWN COVERAGE ENDORSEMENT

COVERAGE PART D. PRIVACY BREACH EXPENSE, I. INSURING AGREEMENTS, D. Business Interruption Loss and Extra Expense is deleted in its entirety and replaced with the following:

D. Business Interruption Loss and Extra Expense

The **Company** will pay the **Insured Entity**:

(1) **Business Interruption Loss** incurred by the **Insured Entity**; and

(2) **Extra Expenses** the **Insured Entity** incurs during the **Period of Restoration**; starting after the **Business Interruption Waiting Period** and as a direct result of:

(1) the actual and necessary interruption or suspension of the **Insured Entity's** computer systems directly caused by a **Privacy Breach**, suspected **Privacy Breach,** or **Security Event;** or

(2) the voluntary and intentional shutdown of the **Insured Entity's** computer systems, with the **Company's** prior consent, but only to the extent necessary to limit the **Loss** resulting from a **Security Event;** or

(3) the intentional shutdown of the **Insured Entity's** computer systems as expressly required by any federal, state, local or foreign government entity in such entity's regulatory or official capacity resulting from a **Security Event,**

that first occurs on or after the Retroactive Date stated in the Policy Declarations for this **Coverage Part** and which is first discovered during the **Policy Period.**

All other terms and conditions of this Policy are the same. This endorsement is a part of the **Named Insured's** Policy. It takes effect on the effective date of **Named Insured's** Policy unless another effective date is shown.

This endorsement modifies insurance provided under the following:

COMMON POLICY TERMS AND CONDITIONS
PROFESSIONAL AND TECHNOLOGY ERRORS AND OMISSIONS LIABILITY
MEDIA LIABILITY
NETWORK SECURITY AND PRIVACY LIABILITY
PRIVACY BREACH EXPENSE

ENHANCED CRIMINAL REWARD FUND ENDORSEMENT

SCHEDULE OF COVERAGE AND LIMITS:

COVERAGE:	LIMIT OF LIABILITY
Criminal Reward Fund	$50,000 each claim
	$50,000 in the aggregate

The **Company** will reimburse the **Insured** for a **Criminal Reward Fund** arising out of a covered **Claim** or **Cyber Event**. Such expenses will be reimbursed up to the LIMIT OF LIABILITY stated herein.

COMMON POLICY TERMS AND CONDITIONS, Section I. DEFINITIONS, is amended to add the following definition:

Criminal Reward Fund means monies offered and paid for by the **Insured Entity,** with the **Company**'s prior written consent**,** for information that leads to the arrest and conviction of any individual(s) who has committed or attempted to commit an illegal act related to any coverage under this Policy. No monies will be reimbursed by the **Company** based upon information given by:

a. any **Insured**;
b. any **Insured's** auditors; or
c. any individual hired or retained by any **Insured** to investigate any illegal act;

.

Criminal Reward Fund does not include monies paid by the **Insured Entity** following six months after policy expiration.

COMMON POLICY TERMS AND CONDITIONS, Section I. DEFINITIONS, O. **Cyber Extortion Threat Expense**, item (3) is deleted.

The LIMIT OF LIABILITY shown above shall be a part of and not in addition to the TOTAL POLICY AGGREGATE LIMIT OF INSURANCE (as applicable) shown in ITEM III. on the Policy Declarations.

No deductible shall apply to the coverage provided by this endorsement.

All other terms and conditions of this Policy are the same. This endorsement is a part of the **Named Insured's** Policy. It takes effect on the effective date of **Named Insured's** Policy unless another effective date is shown.

This endorsement modifies insurance provided under the following:

COMMON POLICY TERMS AND CONDITIONS
PROFESSIONAL AND TECHNOLOGY ERRORS AND OMISSIONS LIABILITY
MEDIA LIABILITY
NETWORK SECURITY AND PRIVACY LIABILITY
PRIVACY BREACH EXPENSE

SANCTION LIMITATION AND EXCLUSION CLAUSE

No (re)insurer shall be deemed to provide cover and no (re)insurer shall be liable to pay any claim or provide any benefit hereunder to the extent that the provision of such cover, payment of such claim or provision of such benefit would expose that (re)insurer to any sanction, prohibition or restriction under United Nations resolutions or the trade or economic sanctions, law or regulations of the European Union, United Kingdom or United States of America.

All other terms and conditions of this Policy remain unchanged. This endorsement is a part of the **Named Insured's** Policy and takes effect on the effective date of **Named Insured's** Policy unless another effective date is shown.

This Endorsement modifies insurance provided under the following:

COMMON POLICY TERMS AND CONDITIONS
COVERAGE PART B - MEDIA LIABILITY
COVERAGE PART C -NETWORK SECURITY AND PRIVACY LIABILITY

EXCLUSION OF STATUTORY DAMAGES AND CLAIM EXPENSES ASSOCIATED WITH BIOMETRIC INFORMATION

COMMON POLICY TERMS & CONDITIONS, I. DEFINITIONS, is amended to add the following:

> **Biometric Identifier(s)** means a retina or iris scan, fingerprint, voiceprint**,** deoxyribonucleic acid (DNA), scan of hand or face geometry, or any physical, physiological, biological or behavioral characteristic of an individual, or anything else that could be perceived as biologically unique to an individual.
>
> **Biometric Information** means any information, regardless of how it is captured, converted, stored, or shared, based on an individual's **Biometric Identifier(s)** used to identify an individual.

The following exclusion is added to Coverage Part B. Media Liability and Coverage Part C Network Security and Privacy Liability:

The **Company** will not be liable for:

1. statutory damages; or
2. any **Claim Expenses** associated with a **Claim** seeking statutory damages;

based upon, arising out of or in any way involving:

a. any actual or alleged violation of any law that regulates or restricts the collection, maintenance, storage, use, safeguarding, handling, retention, disposal, notifications, disclosures or authorizations related to **Biometric Information**; or
b. any actual or alleged unauthorized collection, maintenance, storage, use, safeguarding, handling, retention, disposal, notifications, disclosures or authorizations of **Biometric Information**, or any other improper use thereof.

This exclusion does not apply to **Coverage Part** A. Professional and Technology Errors and Omissions Liability.

All other terms and conditions of this policy remain unchanged. This endorsement is part of your policy. It takes effect on the effective date of your policy unless another effective date is shown.

This endorsement modifies the following:

PT 174 WAR AND TERRORISM EXCLUSION ENDORSEMENT

EXTENSION OF TERRORISM COVERAGE

For the additional premium specified in this Policy, it is hereby agreed that the Exclusion referenced above and attached to this Policy is amended as follows:

The War and Terrorism Endorsement's exclusion of **Terrorism**, as defined by the endorsement, shall not apply to loss or damage caused directly or indirectly by "certified acts of terrorism" under the provisions of the federal Terrorism Risk Insurance Program Reauthorization Act of 2019 ("The Act") and any amendments thereto. The referenced Exclusion also does not apply when "certified acts of terrorism" as defined in The Act result in insured losses of $5 million or less in the aggregate. This Extension of Terrorism Coverage extends coverage under this Policy only to "insured losses" (as defined in The Act) and is subject to the application of any clause in The Act which results in a cap on liability for payments for terrorism losses.

This Extension does not provide coverage for damages arising, directly or indirectly, out of "certified acts of terrorism" as defined in The Act that are awarded as punitive damages.

The terms and conditions of the referenced Exclusion, or the inapplicability or omission of a terrorism exclusion, do not serve to create coverage for any loss which would otherwise be excluded under this policy, including but not limited to losses excluded by one or more of the above referenced exclusions.

Coverage provided by this Policy for losses caused by "certified acts of terrorism" is partially reimbursed by the United States under a formula established by federal law. Under this formula, the United States pays 80% for covered terrorism losses exceeding the statutorily established deductible paid by the insurance company providing the coverage. Under The Act, the maximum amount that insurers and the federal government are required to pay in respect of terrorism loss(es) in any given calendar year is $100 billion. The premium charged for this coverage does not include any charges for the portion of loss covered by the federal government under The Act.

The federal government may participate in paying for some of the losses from a "certified act of terrorism". However, if aggregate insured losses attributable to terrorist acts certified under The Act exceed $100 billion in a calendar year, the federal government shall not make any payment for any portion of the amount of such losses that exceeds $100 billion. Further, this coverage is subject to a limit on our liability pursuant to the federal law, that is, if aggregate insured losses attributable to terrorist acts certified under The Act exceed $100 billion in a calendar year and we have met our insurer deductible under The Act, we shall not be liable for the payment of any portion of the amount of such losses that exceed $100 billion. In such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

All other terms and conditions of this policy remain unchanged. This endorsement is a part of your policy. It takes effect on the effective date of your policy unless another effective date is shown.

COVERAGE PART A
PROFESSIONAL AND TECHNOLOGY ERRORS AND OMISSIONS LIABILITY

Words that are in bold have special meaning and are defined in Section I. DEFINITIONS of the Common Policy Terms and Conditions attached to this **Coverage Part**.

In consideration of the payment of the premium and reliance upon all statements made and information furnished to the **Company**, including the statements made in the **Application** and all attachments and materials submitted therewith and subject to all the provisions of this Policy, the **Company** agrees as follows:

I. INSURING AGREEMENT

A. Professional and Technology Liability
The **Company** will pay on behalf of an **Insured**, **Loss** and **Claim Expenses** resulting from a **Claim** first made against an **Insured** during the **Policy Period** or, if applicable, during any Extended Reporting Period for a **Professional Wrongful Act**. Such **Professional Wrongful Act** must first occur on or after the Retroactive Date specified in the Policy Declarations for this **Coverage Part**. Such **Claim** must be reported to the **Company** in accordance with the NOTICE/CLAIM REPORTING PROVISIONS of the Common Policy Terms and Conditions

B. Expense To Attend Hearings/Trials/Arbitrations
The **Company** will reimburse the reasonable expenses incurred by an **Insured**, including loss of wages, if an **Insured** is required by the **Company** to attend arbitration proceedings, trial or a hearing in defense of a **Claim**, up to $500 per day for each **Insured** who attends such proceedings at the **Company's** request, subject to a maximum of $10,000 per **Claim**. Payments made pursuant to this provision shall be in addition to the Limits of Liability shown in the Policy Declarations. The Deductible amount stated in the Policy Declarations shall not apply to the payments made by the **Company** pursuant to this provision.

II. ADDITIONAL EXCLUSIONS

In addition to the exclusions listed in Section II EXCLUSIONS of the Common Policy Terms and Conditions, the following exclusions apply to this **Coverage Part**.

The **Company** shall not be liable for **Loss** or **Claim Expenses** on account of any **Claim** or **Cyber Event**:

A. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged malfunction, defect or recall of any **Third Party** hardware, equipment or component; or recall of any **Third Party**, non-customized, commercially available computer software products; however, this exclusion shall not apply to **Claims** for the loss of use of **Third Party**, commercially available hardware, equipment, component or software product caused by or resulting from a **Professional Wrongful Act**; or

B. for a **Media Wrongful Act, Network Security and Privacy Wrongful Act, Payment Card Industry Wrongful Act** or **Regulatory Wrongful Act;** or

C. for any **Claim** which is covered, in whole or in part, under any other **Coverage Part** which is part of this Policy.

III. VICARIOUS LIABILITY

The Company shall pay **Loss** and **Claim Expenses** resulting from a **Claim** against an entity with which the **Insured** has a written contract requiring the **Insured** to maintain insurance for **Professional Wrongful Act**s subject to the following:

(1) the **Claim** against such entity arises or results directly from a **Professional Wrongful Act** by the **Insured**;
(2) the written contract is in effect prior to the occurrence of the **Professional Wrongful Act**;
(3) the **Claim** is covered under the terms of this **Coverage Part**.

However, there is no coverage for any **Claim** arising or resulting directly or indirectly from any **Professional Wrongful Act** committed or alleged to have been committed by such entity. This Section does not confer any rights under the Policy to such entity expect as provided herein.

COVERAGE PART B
MEDIA LIABILITY

Words that are in bold have special meaning and are defined in Section I. DEFINITIONS of the Common Policy Terms and Conditions attached to this Coverage Part.

In consideration of the payment of the premium and reliance upon all statements made and information furnished to the **Company**, including the statements made in the **Application** and all attachments and materials submitted therewith and subject to all the provisions of this Policy, the **Company** agrees as follows:

I. INSURING AGREEMENT

A. Media Liability

The **Company** will pay on behalf of an **Insured** any **Loss** and **Claim Expenses** resulting from a **Claim** first made against an **Insured** during the **Policy Period** or, if applicable, during any Extended Reporting Period for a **Media Wrongful Act**. Such **Media Wrongful Act** must first occur on or after the Retroactive Date specified in the Policy Declarations for this **Coverage Part**. Such **Claim** must be reported to the **Company** in accordance with the NOTICE/CLAIM REPORTING PROVISIONS of the Common Policy Terms and Conditions.

II. ADDITIONAL EXCLUSIONS

In addition to the exclusions listed in Section II EXCLUSIONS of the Common Policy Terms and Conditions, the following exclusions apply to this **Coverage Part**.

The **Company** shall not be liable for **Loss** or **Claim Expenses** on account of any **Claim** or **Cyber Event**:

A. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged violation of any federal, state or local laws or regulations brought by or on behalf of any federal, state or local regulatory agency or other governmental body. This exclusion shall not apply to **Claims** brought by any federal, state or local regulatory agency or other governmental body on behalf of whom any **Insured** engaged **in Media Activity** under a direct, written contract**;** or
B. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged obligation to make licensing fee or royalty payments, including but not limited to the amount or timeliness of such payments; or
C. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged false advertising or unfair or deceptive trade practices with respect to the **Insured's** own products; or
D. for a **Professional Wrongful Act, Network Security and Privacy Wrongful Act, Payment Card Industry Wrongful Act, Regulatory Wrongful Act**; or
E. for any **Claim** that is covered, in whole or in part, under any other **Coverage Part** which is part of this Policy.

COVERAGE PART C
NETWORK SECURITY AND PRIVACY LIABILITY

Words that are in bold have special meaning and are defined in Section I. DEFINITIONS of the Common Policy Terms and Conditions attached to this **Coverage Part**.

In consideration of the payment of the premium and reliance upon all statements made and information furnished to the **Company**, including the statements made in the **Application** and all attachments and materials submitted therewith and subject to all the provisions of this Policy, the **Company** agrees as follows:

I. INSURING AGREEMENTS

A. Network Security and Privacy Liability
The **Company** will pay on behalf of the **Insured**, **Loss** and **Claim Expenses** that the **Insured** shall become legally obligated to pay as a result of a **Claim** first made against an **Insured** during the Policy Period or, if applicable, during any Extended Reporting Period for a **Network Security and Privacy Wrongful Act**. Such **Network Security and Privacy Wrongful Act** must first occur during the Policy Period or on or after the Retroactive Date specified in the Policy Declarations for this **Coverage Part**. There is no coverage under this Insuring Agreement A for **Loss** or **Claim Expenses** arising out of or resulting from a **Regulatory Wrongful Act**

B. Regulatory Claims
The **Company** will pay on behalf of the **Insured**, **Claim Expenses** resulting from a **Claim** first made against an **Insured** during the **Policy Period** or, if applicable, during any Extended Reporting Period for a **Regulatory Wrongful Ac**t. Such **Regulatory Wrongful Act** must first occur on or after the Retroactive Date specified in the Policy Declarations for this **Coverage Part**. The **Company** will also pay fines and penalties to the extent insurable by law which the **Insured** is legally obligated to pay, including amounts the **Insured** is legally obligated to deposit in a fund as equitable relief for the payment of consumer claims, resulting from a **Regulatory Notice/Proceeding** as a result of a **Regulatory Wrongful Act**.

C. Payment Card Industry (PCI) Fines and Penalties and Assessments
The **Company** will pay on behalf of the **Insured Entity**, for **Payment Card Industry Fines and Penalties** and **Payment Card Industry Assessments** as a part of a **Claim** first made against an **Insured** during the **Policy Period** or, if applicable, during any Extended Reporting Period for a **Payment Card Industry Wrongful Act**. Such **Payment Card Industry Wrongful Act** must first occur on or after the Retroactive Date specified in the Policy Declarations for this **Coverage Part**

Claims, Regulatory Notice/Proceedings or **Payment Card Industry Fines and Penalties and Assessments** brought under Insuring Agreements A, B or C above, as applicable, must be reported to the **Company** in accordance with the NOTICE/CLAIM REPORTING PROVISIONS of the Common Policy Terms and Conditions.

II. ADDITIONAL EXCLUSIONS

In addition to the exclusions listed in Section II EXCLUSIONS of the Common Policy Terms and Conditions, the following exclusions apply to this **Coverage Part**.

The **Company** shall not be liable for **Loss** or **Claim Expenses** on account of any **Claim** or **Cyber Event**:

A. for a **Professional Wrongful Act, Media Wrongful Act, Cyber Extortion Threat** or **Privacy Breach Expense;** or
B. for any **Claim** that is covered, in whole or in part, under any other **Coverage Part** which is part of this Policy.

COVERAGE PART D
PRIVACY BREACH EXPENSE

Words that are in bold have special meaning and are defined in Section I. DEFINITIONS of the Common Policy Terms and Conditions attached to this **Coverage Part**.

In consideration of the payment of the premium and reliance upon all statements made and information furnished to the **Company**, including the statements made in the **Application** and all attachments and materials submitted therewith and subject to all the provisions of this Policy, the **Company** agrees as follows:

I. INSURING AGREEMENTS

A. Privacy Breach Expense
The **Company** will pay on behalf of the **Insured Entity Privacy Breach Expense** incurred by the **Insured Entity** which results from a **Privacy Breach** which first occurs on or after the Retroactive Date stated in the Policy Declarations for this **Coverage Part** and which is first discovered during the **Policy Period.** The **Insured Entity(s)** shall not incur any **Privacy Breach Expense** without (1) first reporting the **Privacy Breach** to the **Company** and (2) using a service provider of the **Company's** choice.

B. Cyber Extortion Threat Expense
The **Company** will pay the **Insured Entity Cyber Extortion Threat Expense**, arising from a **Cyber Extortion Threat**, which first occurs during the **Policy Period**. The **Insured Entity(s)** shall not incur any **Cyber Extortion Threat Expense** without
(1) first reporting the **Cyber Extortion Threat** to the **Company** and
(2) obtaining the **Company's** written consent to payment of any **Cyber Extortion Threat Expense**, which consent will not be unreasonably withheld.

C. Reputation Damage
The **Company** will pay the **Insured Entity** for **Reputation Damage** incurred by the **Insured Entity**, starting after the **Reputation Damage Waiting Period** and incurred during the **Period of Indemnity**.

D. Business Interruption Loss and Extra Expense
The **Company** will pay the **Insured Entity**:
(1) **Business Interruption Loss** incurred by the **Insured Entity**; and
(2) **Extra Expenses** the **Insured Entity** incurs during the **Period of Restoration**;
starting after the **Business Interruption Waiting Period** and as a direct result of the actual and necessary interruption or suspension of the **Insured Entity's** computer systems directly caused by a **Privacy Breach** or **Security Event.**

E. Dependent Business Interruption Loss and Extra Expense
The **Company** will pay the **Insured Entity**:
(1) **Business Interruption Loss** incurred by the **Insured Entity**; and
(2) **Extra Expenses** the **Insured Entity** incurs during the **Period of Restoration**;
starting after the **Business Interruption Waiting Period** and as a direct result of the **Dependent Business Interruption.**

F. System Failure and Extra Expense
The **Company** will pay the **Insured Entity**:
(1) **Business Interruption Loss** incurred by the **Insured Entity**; and
(2) **Extra Expenses** the **Insured Entity** incurs during the **Period of Restoration**;
starting after the **Business Interruption Waiting Period** and as a direct result of the **System Failure.**

G. Cyber Crime
The **Company** will pay the **Insured Entity** for **Cyber Crime Loss(es), in** excess of the deductible**,** sustained due to:
(1) **Social Engineering Fraud** incurred by the **Insured Entity**; and
(2) **Telecommunications Fraud** incurred by the **Insured Entity;** and
(3) **Wire Transfer Fraud** incurred by the **Insured Entity**.

Claims under the above Insuring Agreements must be reported to the **Company** in accordance with the NOTICE/CLAIM REPORTING PROVISIONS of the Common Policy Terms and Conditions.

II. ADDITIONAL EXCLUSIONS

In addition to the exclusions listed in Section II EXCLUSIONS of the Common Policy Terms and Conditions, the following exclusions apply to this **Coverage Part**.

1. The **Company** shall not be liable for **Loss** or **Claim Expenses** on account of any **Claim** or **Cyber Event**:
   A. for costs directly or indirectly related to reissuance of credit or debit cards or any other expense not specifically included within the definition of **Privacy Breach Expense** in Section I. DEFINITIONS of the Common Policy Terms and Conditions; or
   B. for cost or expense incurred or expected to be incurred by a person(s) whose **Personally Identifiable Information** was the subject of a **Privacy Breach** except as provided under **Privacy Breach Expense**; or
   C. for **Professional Wrongful Act, Media Wrongful Act, Network Security and Privacy Wrongful Act, Payment Card Industry Wrongful Act** or **Regulatory Wrongful Act**; or
   D. for cost or expense covered, in whole or in part under any other **Coverage Part** which is part of this Policy.
2. The **Company** shall not be liable for **Business Interruption Loss** or **Extra Expense**:
   A. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged seizure, nationalization, confiscation, or destruction of property or data by order of any governmental or public authority; or
   B. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged costs or expenses incurred by the **Insured** to identify or remediate software program errors or vulnerabilities or update, replace, restore, assemble, reproduce, recollect or enhance **Data Assets** to a level beyond that which existed prior to a **Cyber Event**; or
   C. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged failure or malfunction of satellites or of infrastructure or services providing power, utility, mechanical, telecommunications or internet that are not under the **Insured Entity's** direct operational control; or
   D. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged fire, flood, earthquake, volcanic eruption, explosion, lightning, wind, hail, tidal wave, landslide, act of God or other physical event.
3. The **Company** shall not be liable for **Cyber Crime Loss**:
   A. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged indirect or consequential loss of any kind; or
   B. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged fraudulent instruction if the sender, or anyone acting in collusion with the sender, ever had access to the **Insured's** password, PIN or other security code; or
   C. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged use of credit, debit, charge, access, convenience or other cards of the information contained on such cards; or
   D. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged trading losses, trading liabilities or change in value of accounts; or
   E. arising out of, directly or indirectly resulting from or in consequence of or in any way involving actual or alleged accounting or arithmetical errors or omissions.

III. APPRAISAL

If the **Insured Entity** and the **Company** disagree on the amount of **Reputation Damage** or **Business Interruption Loss** covered under this policy, either party may make written demand on the other for an appraisal to be performed. In this event, each party will each select a competent and impartial appraiser. The two appraisers will select an umpire. If they cannot agree on an umpire, one will be selected by a judge of a court having jurisdiction over the parties. The appraisers will make an appraisal of the **Reputation Damage** or **Business Interruption Loss** incurred by the **Insured Entity**. If they agree on the amount of the **Reputation Damage** or **Business Interruption Loss**, the **Company** will pay or reimburse the **Insured Entity** for that amount up to the applicable Limit of Liability set forth on the Policy Declarations. If the two appraisers cannot agree on the amount of the **Reputation Damage** or **Business Interruption Loss**, they will submit their appraisals to the umpire. A decision by the umpire with respect to the amount of any **Reputation Damage** or **Business Interruption Loss** will be final and binding on **Company** and the **Insured Entity**.

In carrying out the appraisal process, each party will pay its designated appraiser and share fees and expenses of the umpire equally.

Any claims for **Reputation Damage** or **Business Interruption Loss** are otherwise subject to the terms, conditions and exclusions of this Policy.

IV. COVERAGE PART D INSURED RESPONSIBILITES

1) **The Insured Entity** shall not disclose to any person, organization, or entity outside of the **Named Insured**, other than Law Enforcement, of the existence of insurance coverage afforded by this policy. An **Insured Entity** authorizes the **Company** or its representatives to notify the law enforcement authorities of any actual or potential **Cyber Extortion Threat. An Insured Entity** shall thereafter fully cooperate with law enforcement authorities in the investigation and prosecution of a **Cyber Extortion Threat**
2) An Insured shall not disclose to any person, organization or entity outside of the Named Insured or a Subsidiary, other than law enforcement, of the existence of insurance coverage afforded by this Policy
3) The Insured(s) further agree not to take any action which may increase an Insured's or the Company's exposure for Privacy Breach Expense and Cyber Extortion Threat Expense

POLICYHOLDER DISCLOSURE NOTICE OF TERRORISM INSURANCE COVERAGE

You are hereby notified that under the Terrorism Risk Insurance Act ("the Act"), as amended, you have a right to purchase insurance coverage for losses arising out of acts of terrorism. *As defined in Section 102(1) of the Act*: The term "act of terrorism" means any act or acts that are certified by the Secretary of the Treasury, in consultation with the Secretary of Homeland Security, and the Attorney General of the United States, to be an act of terrorism; to be a violent act or an act that is dangerous to human life, property, or infrastructure; to have resulted in damage within the United States, or outside the United States in the case of certain air carriers or vessels or the premises of a United States mission; and to have been committed by an individual or individuals, as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

You should know that any coverage for losses caused by certified acts of terrorism is partially reimbursed by the United States under a formula established by federal law. Under this formula, the United States reimburses 80% of covered terrorism losses exceeding the statutorily established deductible paid by the insurance company providing the coverage. The premium charged for this coverage is provided below and does not include any charges for the portion of loss covered by the federal government under the Act.

Coverage for "insured losses", as defined in the Act, is subject to the coverage terms, conditions, amounts and limits in this policy applicable to losses arising from events other than acts of terrorism.

You should know that the Act, as amended, contains a $100 billion cap that limits U.S. Government reimbursement, as well as insurers' liability, for losses resulting from certified acts of terrorism when the amount of such losses in any one calendar year exceeds $100 billion. If the aggregate insured losses for all insurers exceed $100 billion in any one calendar year, your coverage may be reduced.

You should also know that, under federal law, you are not required to purchase coverage for losses caused by certified acts of terrorism.

REJECTION OR SELECTION OF TERRORISM INSURANCE COVERAGE

Please "X" one of the boxes below and return this notice to the Company.

	I decline to purchase Terrorism Coverage. I understand that I will have no coverage for losses arising from acts of Terrorism.
	I elect to purchase coverage for certified acts of Terrorism for a premium of $_____.

_____ Applicant Name (Print)

_____ Named Insured

_____ Authorized Signature

_____ Date

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